

WATER SHUT-OFF DEVICES

Protect Your Home
Against Leaks

HEADS UP HOMEOWNERS: No one likes to imagine water damage in their home, but it happens all the time and often leads to inconvenient and expensive repairs. Your insurance policy may help cover the cost of damage, but your time is valuable, and irreplaceable belongings may be lost.

A flow-based water shut-off device can automatically detect leaks and shut off the main water supply, reducing the damage to your home. See the  in the rooms below for possible sources of leaks.

WATER DAMAGE BY THE NUMBERS¹

WATER DAMAGE CLAIMS ARE:
- **5X** MORE LIKELY THAN THEFT
- **13X** MORE LIKELY THAN FIRE

AT LEAST **40%** OF WATER LOSSES
COULD BE MITIGATED OR AVOIDED
BY INSTALLING A SHUT-OFF DEVICE.

NEARLY **30%** OF
CLAIMS SUBMITTED
ARE DUE TO
WATER DAMAGE.

HOMEOWNERS WHO HAVE TO
VACATE THEIR HOMES AFTER
A WATER LOSS SPEND NEARLY
4 MONTHS AWAY ON AVERAGE.

¹ Statistics based on Cincinnati Insurance data collected between 2018-2024.

CINCINNATI WATER SHUT-OFF SERVICE PROVIDER AND DISCOUNTS

Vendor	Water Main Size	Discount for Cincinnati Policyholders*	More Info
Phyn	0.75", 1", 1.25"	15%	www.phyn.com/cinfin
Leak Defense	0.75", 1", 1.25", 2", 2.5", 3"	33%	www.leakdefensesystem.com/cincinnati
Flo-Logic	1", 1.5", 2"	15%	www.flologic.com/cincinnati
Beagle**	0.75", 1", 1.25", 2"	Varies depending upon chosen product	www.beagleservices.com/insurance/cinfin

* Price does not include the cost of installation or accessories
** Beagle is not available in all states. Please visit their website or contact your agent for more details.



Contact your local independent agent for questions about your insurance coverage.

This is not a policy. For a complete statement of the coverages and exclusions, please see the policy contract. Products are not available in all states. "The Cincinnati Insurance Companies", "Cincinnati Insurance" and "Cincinnati" refer to member companies of the insurer group providing property and casualty coverages through The Cincinnati Insurance Company or one of its wholly owned subsidiaries – The Cincinnati Indemnity Company or The Cincinnati Casualty Company. Each insurer has sole financial responsibility for its own products. Not all subsidiaries operate in all states. Do not reproduce or post online, in whole or in part, without written permission. © 2025 The Cincinnati Insurance Company. 6200 S. Gilmore Road, Fairfield, OH 45014-5141. Mailing address: P.O. Box 145496, Cincinnati, OH 45250-5496.

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The Cincinnati Insurance Company ■ The Cincinnati Indemnity Company
The Cincinnati Casualty Company ■ The Cincinnati Specialty Underwriters Insurance Company
The Cincinnati Life Insurance Company

Mary Jorgensen ARM, CFPS, CSP
Vice President
Personal Lines - Risk Management

Mary Catherine Murray
Kingsley Martin
316 E BUENA VISTA ST
SANTA FE, NM 87505-2623

October 14, 2025

Protecting Your Home's Value

Thank you for choosing Arthur J. Gallagher Risk Management S and the Cincinnati Insurance Companies to insure your home.

Part of our commitment to you as a Cincinnati Private Client policyholder is ensuring your home is adequately protected in the event of a covered loss. This may require a complimentary survey of your property and its unique characteristics to calculate the appropriate amount of coverage needed. This amount is known as the reconstruction or replacement cost and is reflected in the Coverage A section of your homeowner's policy.

Factors that influence reconstruction cost

Reconstruction cost is often greater than your home's purchase price or its current market value. Your Coverage A should include the full amount of funds needed to hire a contractor to rebuild your home using like kind and quality of materials, acquire architecture and engineering services, pay for contractors' fees and remove debris and other materials prior to construction.

When determining your home's reconstruction cost, we consider factors such as custom features that may be expensive to replicate, ease of access based on your home's location and required updates due to changing building codes. To ensure your home is adequately protected in the event of a covered loss, we may increase your home's reconstruction cost – which may affect your premium – based on the results of our home inspection.

Assessing your home's unique features

To gather information to determine your home's most accurate replacement cost, we will perform a complimentary personal interior and exterior survey. Inspectors from Cincinnati or a trusted vendor will contact you using the information provided by your independent agent to set up an appointment.

Thank you for the opportunity to serve your insurance needs. Please contact your independent agent with questions. Arthur J. Gallagher Risk Management S
281-243-6422

Sincerely,

Mary Jorgensen

Cincinnati
Private ClientSM



Your Cincinnati Casualty Company Personal Lines Policy

Represented by:

Arthur J. Gallagher Risk Management Services, LLC

Mary Catherine Murray
Kingsley Martin



Everything Insurance Should Be®

cinfin.com

The Cincinnati Casualty Company

A Stock Insurance Company

Headquarters: 6200 S. Gilmore Road, Fairfield, OH 45014-5141

Mailing address: P.O. Box 145496, Cincinnati, OH 45250-5496

www.cinfin.com - 513-870-2000



The Cincinnati Casualty Company

POLICY NUMBER

H01 1345851

Image 1

EXECUTIVE CAPSTONE™ HOMEOWNER DECLARATIONS

Policy Period: From 10/14/2025 To 10/14/2026

12:01 a.m. Standard Time at the Address of the Named Insured

New Business

H01 1345851

Named Insured & Address

Mary Catherine Murray

Kingsley Martin

316 E BUENA VISTA ST

SANTA FE, NM 87505-2623

Please refer any questions to your agent:

Arthur J. Gallagher Risk Management Services, LLC

5810 WILSON RD STE 130 ste 130

HUMBLE, TX 77396-5152

281-243-6422

Agency 42162

County of SANTA FE

In the event of a claim, you may call your agent or The Cincinnati Casualty Company at 877-242-2544.

Unless otherwise stated, the residence premises covered by this policy is located at the above address.

PAYOR - Insured

Billing Method:	Direct Bill
Current Pay Plan:	Annual Pay
Total Premium:	\$7,531.00

THIS IS NOT A BILL. You will receive a separate invoice if a premium charge or return is due.

Cincinnati
Private ClientSM



The Cincinnati Casualty Company

POLICY NUMBER

H01 1345851

Image 1

EXECUTIVE CAPSTONE™ HOMEOWNER DECLARATIONS

Policy Period: From 10/14/2025 To 10/14/2026

12:01 a.m. Standard Time at the Address of the Named Insured

New Business

COVERAGES AND LIMITS OF INSURANCE

SECTION I	A. Dwelling	\$2,485,277
	B. Other Structures	\$497,055
	C. Personal Property	\$1,863,957
	D. Loss of Use	Actual Loss

DEDUCTIBLE (SECTION I ONLY)

\$2,500 Applies to all causes of loss unless otherwise noted.

2% (of your Dwelling limit) which equates to \$49,706 - Applies to the peril of
Windstorm or Hail Losses.

SECTION II	E. Personal Liability	
	a. Bodily Injury and Property Damage (per Each Occurrence)	} \$500,000
	b. Personal Injury (Aggregate)	
	F. Medical Payments to Others - Each Person	\$25,000

The following credits have been applied to your policy:

Package Credit
Pay Plan Discount

BASIC PREMIUM SUBTOTAL	\$7,381.00
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OTHER COVERAGES, ENDORSEMENTS AND CHARGES

Executive Capstone™ Policy	Executive Capstone™AQ (6/17)	
Special Provisions Endorsement - New Mexico	HR978QNM (6/24)	
Trade or Economic Sanctions Endorsement	IP462 (1/18)	
Notice of Privacy Practices	MI1659 (4/22)	
Your Insurance Score	MI1785A (4/19)	
Equipment Breakdown	HR961C (6/19)	\$150.00
Guaranteed Replacement Cost Protection		Included
Section I - Fungi, Wet or Dry Rot, or Bacteria - Limit of Insurance Schedule (\$10,000)		Included
Section II - Fungi, Wet or Dry Rot, or Bacteria - Limit of Insurance Schedule (\$100,000)		Included

OTHER COVERAGES, ENDORSEMENTS AND CHARGES PREMIUM	\$150.00
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TOTAL POLICY PREMIUM	\$7,531.00
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The Cincinnati Casualty Company

POLICY NUMBER

H01 1345851

Image 1

EXECUTIVE CAPSTONE™ HOMEOWNER DECLARATIONS

Policy Period: From 10/14/2025 To 10/14/2026

12:01 a.m. Standard Time at the Address of the Named Insured

New Business

Equipment Breakdown

Schedule:

Limit: \$50,000

Deductible: \$500

Water Damage Limit (Sewer or Drain Backup)

Schedule:

Limit: \$2,485,277

Deductible: \$2,500

Roof System Limited Loss Settlement

Roof Loss Settlement Type	Year of Roofing Installation	Roofing Material	Loss Percentage
Replacement Cost	2000	Composition Shingle	100%

The above Roof Loss Settlement percentage applies to losses to the Roof Systems only, for losses due to Windstorm or Hail. If you have replaced your roof, contact your agent to have your policy updated.

THE CINCINNATI CASUALTY COMPANY

EXECUTIVE CAPSTONETM POLICY

	Page
DECLARATIONS	Declarations Page
Your Name	Declarations Page
Location of Your Residence	Declarations Page
Policy Period	Declarations Page
Coverages	Declarations Page
Limits of Insurance	Declarations Page
Deductible	Declarations Page
AGREEMENT	2
DEFINITIONS	2
SECTION I - PROPERTY COVERAGES	9
A. Section I - Coverages	9
1. Coverage A - Dwelling	9
2. Coverage B - Other Structures	9
3. Coverage C - Personal Property	10
4. Coverage D - Loss of Use	12
5. Section I - Additional Coverages	13
B. Section I - Covered Causes of Loss	22
C. Section I - Exclusions	22
D. Section I - Conditions	26
SECTION II - LIABILITY COVERAGES	31
A. Section II - Coverages	31
1. Coverage E - Personal Liability	31
2. Coverage F - Medical Payments to Others	32
B. Section II - Exclusions	32
C. Section II - Additional Coverages	39
D. Section II - Conditions	40
SECTION III - COMMON CONDITIONS	43
ENDORSEMENTS , if any, will be attached to this policy and follow the last page.	

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the person named in the Declarations as the Named Insured and their legally recognized spouse, if their spouse is domiciled in the "residence premises". The words "we", "us" and "our" refer to the Company providing this insurance.

The word "insured" means any person or organization qualifying as such under the definition of "insured". Refer to **DEFINITIONS**.

Other words and phrases that appear in quotation marks have special meaning. Refer to **DEFINITIONS**.

AGREEMENT

"We" will provide the insurance described in this policy. "You" agree to pay the premium and comply with all the provisions of this policy.

DEFINITIONS

Where set forth in quotes in this policy, whether in singular or in plural, the following terms shall have the meanings indicated.

1. "Actual cash value" means replacement cost less a deduction that reflects depreciation, age, condition and obsolescence.
2. "Advocacy services" means the services available to "you" by a consultant "we" choose and provide in accordance with the terms of "our" agreement with the consultant. With "your" permission, the consultant will assist "you" to report and address actual or suspected "identity theft".
3. "Aircraft" means any contrivance used or designed for flight, except model or hobby aircraft not used or designed to carry people or cargo.
4. "Alternative Power System" means a wind, solar or geothermal electrical power generating system.
5. "Alternative Water System" means a permanently installed plumbing system and its components, including cisterns and holding tanks used to supply or reuse nonpotable, untreated or partially-treated household wastewater, ground water or rain water for residential watering in accordance with local building codes. "Alternative Water System" does not include a water well.
6. "Bodily injury" means bodily harm, sickness or disease sustained by a person, including death resulting from any of these at any time.
7. "Business" means:
 - a. A trade, profession or occupation of any kind, including "farming", engaged in on a full-time, part-time or occasional basis; or
 - b. Any other activity engaged in for money or other compensation, except for the following:
 - (1) One or more activities, not described in (2) through (5) below, for which no "insured" received more than \$15,000 in total compensation for the 12 months before the current "coverage term";
 - (2) Newspaper delivery, baby-sitting, caddying, lawn care and similar activities by a minor resident of "your" household;
 - (3) Volunteer activities for which no money is received other than payment for expenses incurred to perform the activity;
 - (4) Providing home day care services for which no compensation is received, other than the mutual exchange of such services; or
 - (5) The rendering of home day care services to a nonresident relative of an "insured".
8. "Coverage term" means the following individual increment, or if a multiyear Policy Period, increments, of time, which comprise the Policy Period, as stated in the Declarations, of this policy:
 - a. The year commencing on the effective date, as stated in the Declarations (i.e., From), of this policy at 12:01 AM standard time at "your" mailing address shown in the Declarations, and if a multiyear Policy Period, each consecutive annual period thereafter, or portion thereof if any period is for a period of less than 12 months, constitute individual "coverage terms". The last "coverage term" ends at 12:00 AM standard time at "your" mailing address shown in the Declarations on the earlier of:
 - (1) The day the Policy Period shown in the Declarations ends; or
 - (2) The day the policy is terminated or cancelled.

- b. However, if after the issuance of this policy, any "coverage term" is extended for an additional period of less than 12 months, that additional period of time will be deemed to be part of the last preceding "coverage term".
9. "Electronic data" means information, facts or programs stored as or on, created or used on, or transmitted to or from, computer software, including systems and applications software, hard or floppy disks, CD-ROMS, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.
10. "Employee" means an employee of an "insured" or an employee leased to an "insured" by a labor leasing firm under an agreement between an "insured" and the labor leasing firm, whose duties are other than those performed by a "residence employee".
11. "Excluded watercraft" means:
- a. A watercraft owned by or rented regularly or frequently to an "insured" if the watercraft has motor power of more than 75 "horsepower" or is a sailing vessel, with or without auxiliary power, 26 feet or more in overall length;
 - b. A watercraft owned by or rented regularly or frequently to an "insured" if the watercraft is propelled by a jet drive, which forces water at a high pressure through a nozzle(s) at the stern of the craft, creating a water jet stream that drives the watercraft; or
 - c. Any watercraft:
 - (1) Operated in, or practicing for, any prearranged or organized race, speed contest or other competition. This provision c.(1) does not apply to a sailing vessel or a predicted log cruise;
 - (2) Rented to others by an "insured";
 - (3) Used to carry persons or cargo for a charge; or
 - (4) Used for any "business" purpose.
12. "Farming" means the growing or raising of produce, livestock or poultry for sale which produces more than \$25,000 in gross annual revenue and involves the employment of others who are not an "insured" for more than 1,500 hours during the "coverage term".
13. "Fuel system", means one or more containers, tanks or vessels which have a total combined capacity of more than 500 U.S. gallons of liquid fuel.
- However, a "fuel system" does not include any fuel tanks that are permanently affixed to a "motor vehicle" or watercraft owned by an "insured" and not used primarily for "business" purposes.
14. "Fungi" means any type or form of fungus, and includes, but is not limited to, any form of mold, mushroom or mildew and any mycotoxins, spores, scents or byproducts produced or released by fungi.
15. "Green" means products, materials, methods and processes certified by a "green authority" that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize the environmental impact. "Green" includes, but is not limited, to the following:
- a. Energy efficient appliances, including clothes washers and dryers, dishwashers, refrigerators and freezers;
 - b. Energy efficient electronics, including televisions, DVD and MP3 players, telephones, computers, monitors, printers, fax machines, scanners and copiers;
 - c. Energy efficient heating and cooling systems, including heat pumps, boilers, central or room air conditioning, central fans, dehumidifiers, furnaces, programmable thermostats and ventilating fans;
 - d. Energy efficient home envelope materials, including insulating material, air sealing, roof products, windows, doors and skylights;
 - e. Energy efficient interior plumbing systems, including faucet and shower head restrictors, dual flush toilets and automatic faucet sensors;
 - f. Energy efficient lighting systems, including light fixtures, ballasts, and automatic occupancy sensor shut-off and automatic day-light dimming controls;
 - g. Low volatile organic compound paints, primers, solvents, finishes, adhesives and sealants;
 - h. Low emissions carpet and floor coverings, including adhesives to affix them to the floor;
 - i. Permanently installed composite wood fixtures, including counters, cabinets and partitions; and

- j. Forest Stewardship Council[®] certified wood materials used for floors, decks, roofs and siding.
16. "Green authority" means an authority on "green" buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED[®]) for Homes Green Building Rating System of the U.S. Green Building Council, National Association of Home Builders Green Home Building Guidelines, Energy Star Rating System or any other recognized "green" rating system "we" deem appropriate.
17. "Horsepower" means the maximum power rating assigned to the engine or motor by the manufacturer.
18. "Hovercraft" means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles.
19. "Identity theft" means the act of someone other than an "insured", who without the "insured's" knowledge, creates, transfers or uses, without lawful authority, a means of identification of an "insured" with the intent to commit, or to aid or abet another to commit, any unlawful activity that constitutes a violation of federal law or a felony under any applicable state or local law.

Any act or series of acts committed by any person acting alone or in collusion with other persons is considered to be one "identity theft", even if a series of acts continues into a subsequent "coverage term".

20. "Identity theft expenses" means:
- a. Costs for notarizing fraud affidavits or similar documents for law enforcement agencies or financial institutions or similar credit granting or reporting agencies or institutions that have required that such affidavits be notarized;
 - b. Costs for certified mail to law enforcement agencies, credit reporting agencies, financial institutions or similar credit grantors;
 - c. Lost wages as a result of time taken off from work to meet with, or talk to, law enforcement agencies, credit reporting agencies and/or legal counsel, or to complete fraud affidavits;
 - d. Loan application fees for reapplying for a loan or loans when the original application is rejected solely because the lender received incorrect credit history information from a credit reporting agency or a current or past creditor of the "insured";
 - e. Reasonable attorney fees incurred, with "our" prior consent, for:
 - (1) Defense of lawsuits brought against the "insured" by persons or organizations who have granted credit to someone, other than an "insured", fraudulently using the "insured's" identity or their collection agencies;
 - (2) The removal of any criminal or civil judgments wrongly entered against an "insured" as the result of someone, other than an "insured", fraudulently using the "insured's" identity; and
 - (3) Challenging the accuracy or completeness of any information in a consumer credit report as the result of someone, other than an "insured", fraudulently using the "insured's" identity; and
 - f. Charges incurred for long distance telephone calls to merchants, law enforcement agencies, financial institutions or similar credit grantors, or credit reporting agencies to report or discuss an actual "identity theft".
21. "Insured" means "you" and:
- a. "Your" "resident relatives";
 - b. "Your" Living Trust(s) (also known as Inter Vivos Trusts) including any natural person named as executor, administrator or trustee of "your" estate or living trust, but only:
 - (1) If recognized under applicable state law as a legal entity with the capacity to sue or be sued in a court having jurisdiction;
 - (2) While acting within the scope of their duties as such; and
 - (3) With respect to property held in "your" living trust or estate:
 - (a) Which is specifically scheduled and insured in Section I of this policy; or
 - (b) For which insurance coverage is provided under Section II of this policy; and

c. Under Section II only:

- (1)** Any person or organization legally responsible for animals or watercraft that are covered by this policy and which are owned by "you" or a "resident relative". However, "insured" does not include persons or organizations using or having custody of these animals or watercraft:
 - (a)** For "business" purposes; or
 - (b)** Without permission of the owner; and
- (2)** With respect to the operation of a "motor vehicle" to which this policy applies:
 - (a)** Persons engaged in "your" or a "resident relative's" employ; and
 - (b)** Other persons using the vehicle on an "insured location" with "your" consent.

Under both Section I and II, when the word an immediately precedes the word "insured", the words an "insured" together mean one or more "insureds".

22. "Insured location" means:

- a.** The "residence premises";
- b.** The part of other premises, other structures and grounds used by "you" as a residence and:
 - (1)** Which is shown in the Declarations; or
 - (2)** Which is acquired by "you" during the "coverage term" for "your" use as a residence. However, any such residence will cease to be an "insured location" under this policy upon the earlier of:
 - (a)** It being specifically insured under another policy form issued by "us" or another insurer; or
 - (b)** The end of the "coverage term" in which it was first acquired;
- c.** Any premises used by "you" in connection with a premises described in **a.** or **b.** above;
- d.** Any part of a premises:
 - (1)** Not owned by an "insured"; and
 - (2)** Where an "insured" is temporarily residing;
- e.** Vacant land (other than land used in "farming") owned by or rented to an "insured";
- f.** Land owned or rented by "you" where a one- or two-family residence is being constructed for "your" occupancy;
- g.** An "insured's" individual or family cemetery plots or burial vaults; or
- h.** Any part of a premises occasionally rented to an "insured" for other than "business" use.

23. "Kidnap and Ransom Event" means the wrongful taking, false imprisonment or wrongful detention of "you", a "resident relative" or other covered family member from anywhere in the world except where a United States economic or trade sanction or travel ban is in effect at the time of the "kidnap and ransom event". The event must include a demand for ransom payment to be paid by "you" or a "resident relative" in exchange for the release of the kidnapped person.

24. "Kidnap Expenses" means:

- a.** Fees and expenses for a professional negotiator, security consultant, security guard services, public relations consultant or forensic analyst;
- b.** Travel and accommodation expenses;
- c.** Notarizing, certified mail or phone expenses;
- d.** Lost wages by "you" or a "resident relative"; and
- e.** Reasonable legal fees.

25. "Location" means:

- a.** The "residence premises";
- b.** Dwellings rented to others, which are specifically scheduled for coverage under this policy, including other structures and grounds that are part of that premises; and

- c. Secondary residences owned and occupied by "you", which are specifically scheduled for coverage under this policy, including other structures and grounds that are part of that premises.
26. "Malicious code" means a computer code created for the purpose of destroying, corrupting or otherwise adversely affecting "electronic data".
27. "Mine Subsidence" means lateral or vertical movement including the collapse which results from such movement as a result of man-made underground coal mines, clay mines, limestone mines and salt mines.
- "Mine Subsidence" does not include "physical loss" caused by earthquake, landslide, volcanic eruption, collapse of storm or sewer drains, or rapid transit tunnels or other earth movement.
28. "Motor vehicle" means:
- a. A self-propelled land or amphibious vehicle; or
 - b. Any trailer or semitrailer which is being carried on, towed by or hitched for towing by a vehicle described in **a.** above.
29. "Nuclear hazard" means any nuclear reaction, radiation, or radioactive contamination, all whether controlled or uncontrolled or however caused, or any consequence of any of these. Loss caused by the nuclear hazard will not be considered loss caused by fire, explosion or smoke, whether those Causes of Loss are specifically named in or otherwise included within the Covered Causes of Loss.
30. "Occurrence" means:
- a. An accident, including continuous or repeated exposure to substantially the same general harmful conditions, that results in "bodily injury" or "property damage"; or
 - b. An offense that results in "personal injury".
- All damages arising from the same accident, continuous or repeated exposure to substantially the same general conditions, act or offense shall be deemed to arise from one "occurrence" regardless of:
- (1) The frequency of repetition;
 - (2) The number or kind of media used; or
 - (3) The number of claimants.
31. "Personal injury" means injury arising out of one or more of the following offenses:
- a. Defamation of character, including oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
 - b. False arrest, detention or imprisonment;
 - c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
 - d. Malicious prosecution; or
 - e. Oral or written publication, in any manner, of material that violates a person's right of privacy.
32. "Physical loss" means accidental physical loss or accidental physical damage.
33. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, petroleum, petroleum products and petroleum byproducts, and waste. Waste includes materials to be recycled, reconditioned or reclaimed. "Pollutants" include but are not limited to substances which are generally recognized in industry or government to be harmful or toxic to persons, property or the environment regardless of whether the injury or damage is caused directly or indirectly by the "pollutants" and whether:
- a. The "insured" is regularly or otherwise engaged in activities which taint or degrade the environment; or
 - b. The "insured" uses, generates or produces the "pollutant".
34. "Power Utility Loss of Income" means loss of income, or renewal energy certificates or other similar monetary credits issued by a power utility company for income or credits earned from the excess electrical power produced by an "alternative power system".
35. "Property damage" means physical injury to or destruction of tangible property, including loss of use of this property. For the purposes of this insurance, "electronic data" is not tangible property.

36. "Residence employee" means:

- a.** An employee of an "insured", or an employee leased to an "insured" by a labor leasing firm, under an agreement between an "insured" and the labor leasing firm, whose duties are related to the maintenance or use of the "residence premises", including household or domestic services; or
- b.** One who performs similar duties elsewhere for an "insured" not related to the "business" of an "insured".

However, a "residence employee" does not include:

- (1)** A temporary employee who is furnished to an "insured" to substitute for a permanent "residence employee" on leave or to meet seasonal or short-term workload conditions; or
- (2)** An employee that comes within the scope of a workers' compensation statute.

37. "Residence premises" means:

- a.** The one- or- two family dwelling where "you" reside or own; or
- b.** That part of any other building where "you" reside;

on the inception date of the policy period shown in the Declarations and which is shown as the "residence premises" in the Declarations.

"Residence premises" also includes other structures and grounds at that location.

38. "Resident relative" means:

- a.** A person related to "you" by blood, marriage or adoption that is a resident of "your" household and who is domiciled in the "residence premises";
- b.** Anyone else in "your" or a "resident relative's" (per **a.** above) care who is a resident of "your" household and who is domiciled in the "residence premises"; and
- c.** A student enrolled in school full-time, as defined by the school, who met the definition of "resident relative" as provided in **a.** or **b.** above before moving out of "your" household to attend school, provided the student is under the age of twenty-four.

39. "Service agreement" means a service plan, property restoration plan, home warranty or other similar service warranty agreement, even if it is characterized as insurance.

40. "Sinkhole activity" means settlement or systematic weakening of the earth supporting the "principal building" only if the settlement or systematic weakening results from contemporaneous movement or raveling of soils, sediments, or rock materials into subterranean voids created by the effect of water on limestone or similar rock formation.

41. "Specified causes of loss" means:

- a.** Fire or lightning.
- b.** Windstorm or hail.
 - (1)** This Cause of Loss does not include "physical loss" to the property contained in a building caused by rain, snow, sleet, sand or dust unless the direct force of wind or hail damages the building causing an opening in a roof or wall and the rain, snow, sleet, sand or dust enters through this opening.
 - (2)** This Cause of Loss includes "physical loss" to watercraft of all types and their trailers, furnishings, equipment, and outboard engines or motors only while inside a fully enclosed building.
- c.** Explosion.
- d.** Riot or civil commotion.
- e.** Aircraft, including self-propelled missiles and spacecraft.
- f.** Vehicles.
- g.** Smoke, meaning sudden and accidental damage from smoke or soot, including the emission or puff back of smoke, soot, fumes or vapors from a boiler, furnace or related equipment.

This Cause of Loss does not include "physical loss" caused by smoke or soot from agricultural smudging, industrial operations, candles, incense or oil lamps.

- h.** Vandalism and malicious mischief.
- i.** Theft, including attempted theft and disappearance of property from a known location when it is likely that the property has been stolen.
 - (1)** This Cause of Loss does not include "physical loss" by theft:
 - (a)** Committed by an "insured"; or
 - (b)** From any part of a "residence premises" rented by an "insured" to someone other than another "insured".
 - (2)** This Cause of Loss does not include "physical loss" caused by theft that occurs off the "residence premises" of:
 - (a)** Property while at any other residence owned, rented to, or occupied by an "insured", except while an "insured" is temporarily living there. Property of an "insured" who is a student is covered while at the residence the student occupies to attend school as long as the student has been there at any time during the 90 days immediately before the "physical loss";
 - (b)** Watercraft of all types and their furnishings, equipment and outboard engines or motors; or
 - (c)** Trailers, semitrailers and campers.
- j.** Falling objects.

This Cause of Loss does not include "physical loss" to property contained in a building unless the roof or an exterior wall of the building is first damaged by a falling object. Damage to the falling object itself is not included.
- k.** Weight of ice, snow or sleet which causes "physical loss" to property contained in a building.
- l.** Accidental discharge or overflow of water or steam from within a plumbing, heating or air conditioning or automatic fire protective sprinkler system or from within a household appliance.

This Cause of Loss does not include "physical loss":

 - (1)** To the system or appliance from which water or steam escaped;
 - (2)** Caused by or resulting from freezing except as provided in **n.** below;
 - (3)** On the "residence premises" caused by accidental discharge or overflow which occurs off the "residence premises"; or
 - (4)** Caused by constant or repeated seepage or leakage of water or the presence or condensation of humidity, moisture or vapor, over a period of weeks, months or years unless such seepage or leakage of water or the presence or condensation of humidity, moisture or vapor and the resulting damage is unknown to all "insureds" and is hidden within the walls or ceilings or beneath the floors or above the ceilings of a structure.

For the purposes of this Cause of Loss, a plumbing system or household appliance does not include a sump, sump pump or related equipment, or a roof drain, gutter, downspout or similar fixtures or equipment.

Section **I, C.4.**, Exclusion **c.**, Paragraph **(1)** that applies to surface water does not apply to "physical loss" by water covered under this Cause of Loss **l.**
- m.** Sudden and accidental tearing apart, cracking, burning or bulging of a steam or water heating system, an air conditioning or automatic fire protective sprinkler system or an appliance for heating water.

"We" do not cover "physical loss" caused by or resulting from freezing under this Cause of Loss.
- n.** Freezing of a plumbing, heating, air conditioning system or automatic fire protective sprinkler system or of a household appliance but only if "you" have used reasonable care to:
 - (1)** Maintain heat in the building; or
 - (2)** Shut off the water supply and drain all systems and appliances of water.

However, if the building is protected by an automatic fire protective sprinkler system, "you" must use reasonable care to continue the water supply and maintain heat in the building for coverage to apply.

For purposes of this Cause of Loss, a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment.

- This Cause of Loss does not include "physical loss" to tubes, transistors, electronic components or circuitry that are a part of appliances, fixtures, computers, home entertainment units or other types of electronic apparatus.

42. "Suit" means a civil proceeding in which money damages because of "bodily injury", "personal injury", "property damage", unauthorized use of a credit card or fund transfer card, or account forgery to which this insurance applies are alleged. "Suit" includes:

43. "Workplace" means that place and during such hours to which the fellow employee of an "insured" is assigned to work on the date of "occurrence".

- (b) Used to store "business" property. However, "we" do cover a structure that contains "business" property solely owned by:

- 1) An "insured"; or
- 2) A person who is a tenant of, and who is domiciled in the dwelling insured under Coverage **A**;

provided that "business" property does not include gaseous or liquid fuel, other than fuel in a permanently installed fuel tank of a vehicle or craft parked or stored in the structure.

3. Coverage C - Personal Property

"We" will pay for direct "physical loss" to Covered Property and other covered costs caused by or resulting from a Covered Cause of Loss that occurs during the "coverage term".

a. Covered Property

Covered Property under Coverage **C** - Personal Property means:

- (1) Personal property owned or used by an "insured" while it is anywhere in the world; and
- (2) After a "physical loss" and at "your" request, personal property owned by:
 - (a) Others while the property is on the part of the "residence premises" occupied by an "insured"; or
 - (b) A guest or "residence employee", while the property is in any residence occupied by an "insured".

b. Property Not Covered

Covered Property under Coverage **C** - Personal Property does not include:

- (1) Property separately described and specifically insured, regardless of the amount for which it is insured, or the deductible that applies, in this or any other insurance.
- (2) "Motor vehicles".

This includes a "motor vehicle's" equipment and parts. However, this Paragraph **3.b.(2)** does not apply to:

- (a) Portable electronic equipment that:
 - 1) Reproduces, receives or transmits audio, visual or data signals; and
 - 2) Is designed so that it may be operated from a power source other than a "motor vehicle's" electrical system.
- (b) Electronic equipment that:
 - 1) Reproduces, receives or transmits audio, visual or data signals; and
 - 2) Is designed so that it can only be operated from a power source of a "motor vehicle's" electrical system.
- (c) "Motor vehicles" not required to be registered for use on public roads or property and which are:
 - 1) Used solely to service a residence;
 - 2) Designed to assist the handicapped;
 - 3) Golf carts; or
 - 4) Battery-operated, drivable toy vehicles.
- (3) "Aircraft" and parts.
- (4) These specific types of property:
 - (a) Personal property:
 - 1) Of roomers or boarders not related to an "insured";
 - 2) Of tenants; and

- 3) Property rented or held for rental to others by an "insured" while being used away from the "residence premises".
- (b) Property used in a "business", including:
 - 1) Books of account, drawings or other paper records; or
 - 2) Computers, related equipment and "electronic data",
 except as provided in Section **I, A.5. Additional Coverage n. Business Property**
 However, "we" do cover the cost of blank recording or storage media, and of pre-recorded computer programs available on the retail market.
- (5) Credit cards, electronic fund transfer cards or access devices used solely for deposit, withdrawal or transfer of funds, except as provided in Section **I, A.5. Additional Coverage f. Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money.**
- (6) "Hovercraft" and parts.
- (7) Outdoor trees, shrubs, plants or lawns, except to the extent they are covered under Section **I, A.5. Additional Coverage b. Trees, Shrubs and Other Plants.**
- (8) Grave markers, including mausoleums, except to the extent they are covered under Section **I, A.5. Additional Coverage l. Grave Markers.**
- (9) Animals except to the extent they are covered under Section **I, A.5 Additional Coverage w. Pets.**

c. Special Limits of Insurance

The Limits of Insurance referenced below do not increase the Coverage **C** - Personal Property Limit of Insurance. Rather, the Limits of Insurance described below apply as a maximum Limit of Insurance for all property of the specific type described, which is involved in a single "physical loss".

- (1) The following types of property are covered only up to the limit of insurance referenced:
 - (a) Coverage for personal property usually situated at an "insured's" residence, other than the "residence premises", is the greater of 10% of the Limit of Insurance for Coverage **C**, or \$10,000. However, this limitation does not apply to personal property:
 - 1) Moved from the "residence premises" because it is being repaired, renovated or rebuilt and is not fit to live in or store property in;
 - 2) In a newly acquired principal residence for 90 days immediately after "you" begin to move the property there;
 - 3) Owned by or used by a student, as provided in Paragraph **c.** of the definition of "resident relative"; or
 - 4) Located in a self-storage facility.
 However, for personal property located at a "residence premises" "you" own or live in which is not listed on "your" Declarations, "we" will pay up to 10% of the Limit of Insurance for Coverage **C** shown on "your" Declarations, or \$10,000, whichever is greater for any Covered Cause of Loss provided under this policy except for Hurricane, "Named Storm" or "Earthquake". When the cause of loss is Hurricane, "Named Storm" or "Earthquake" no coverage applies.
 - (b) \$2,500 on money, food stamps, bank notes, bullion, gold or silver (other than goldware or silverware), platinum (other than platinumware), medals, scrip, stored value cards and smart cards.
 - (c) \$5,000 on coins, securities, accounts, deeds, evidences of debt, letters of credit, notes other than bank notes, personal records, tickets, passports, manuscripts and stamps (except food stamps). This dollar limit applies to these categories regardless of the medium (such as paper or computer software) on which the material exists and includes the cost to research, replace or restore the information from the lost or damaged material. Items in this subparagraph **(c)**, while in a bank vault or bank safe deposit box, are covered up to policy limits.

- (d) \$10,000 on watercraft of all types, including their trailers, furnishings, equipment and outboard engines or motors.
 - (e) \$5,000 on trailers or semitrailers of all types not used with watercraft.
 - (f) \$1,000 on trading cards (\$250 maximum per card).
- (2) For "physical loss" by theft, misplacing or losing the following types of property are covered only up to the limit of insurance referenced:
- (a) \$10,000 with a \$5,000 per item limit for jewelry, watches, precious and semiprecious stones, and furs;
 - (b) \$10,000 for silverware, goldware, pewterware, silver-plated ware, gold-plated ware, platinumware and platinum-plated ware. This includes flatware, hollowware, tea sets, trays and trophies made of or including silver, gold, or pewter; and
 - (c) \$10,000 with a \$5,000 per item limit for firearms and related equipment.
- (3) \$50,000 for breakage of eyeglasses, glassware, statuary, marble, bric-a-brac, porcelains and similar fragile articles. Fragile articles do not include jewelry, watches, bronzes, cameras and photographic lenses.

This limitation does not apply if the loss is caused by:

- (a) Fire;
- (b) Lightning;
- (c) Windstorm;
- (d) Hail;
- (e) Smoke (other than smoke from agricultural smudging or industrial operations);
- (f) Explosion;
- (g) Riot;
- (h) Civil commotion;
- (i) Aircraft;
- (j) Vehicles;
- (k) Vandalism and malicious mischief;
- (l) Collapse of a building, or any part of a building;
- (m) Water, not otherwise excluded;
- (n) Theft or attempted theft; or
- (o) Sudden and accidental tearing apart, cracking, burning or bulging of a steam or hot water heating system, air conditioning system or an appliance for heating water.
- (p) Earthquake

4. Coverage D - Loss of Use

Coverage **D** - Loss of Use benefits are limited to the total of all of the following:

a. Additional Living Expense

If a covered "physical loss" under Section **I** makes the "residence premises" uninhabitable, "we" pay for necessary increases in living expenses incurred so that "your" household can maintain its normal standard of living. Payment shall be for the shortest time period required to repair or replace the premises or, if "you" choose, permanently relocate "your" household.

b. Fair Rental Value

If a covered "physical loss" under Section **I** makes that part of the "residence premises" rented to others or held for rental by "you" uninhabitable, "we" will pay "you" its fair rental value for the shortest time period required to repair or replace that part of the premises. Fair rental value will not include any expense that does not continue while that part of the "residence premises" is uninhabitable.

c. Prohibited Use

If a civil authority prohibits use of "your" "residence premises", as a result of direct "physical loss" or a reasonable threat of a "physical loss" by a Covered Cause of Loss in this policy, "we" will pay "you" for any Additional Living Expense and Fair Rental Value loss of income for a period of time not exceeding 30 days.

The periods of time referred to above are not limited by expiration of this policy.

"We" do not cover loss of income or expense due to cancellation of a lease or agreement.

5. Section I - Additional Coverages

The limits of insurance applicable to the Section I - Additional Coverages are: **1.)** In addition to the Limits of Insurance stated in the Declarations, unless stated otherwise; and **2.)** Only applicable to "physical loss" or costs that arise from a Covered Cause of Loss that occurs during the "coverage term", except as provided in Additional Coverage **s.** Electronic Data Restoration, unless stated otherwise.

a. Debris Removal

(1) "We" will pay "your" reasonable expense to remove:

- (a) Debris of Covered Property if a Covered Cause of Loss causes the "physical loss"; or
- (b) Ash, dust or particles from a volcanic eruption that has caused direct "physical loss" to a building or property contained in a building, which is Covered Property; or
- (c) Trees felled by a Covered Cause of Loss under Coverage **C**, provided the tree(s):
 - 1) Damage a covered structure;
 - 2) Block a driveway; or
 - 3) Block a ramp or other access way designed to assist a handicapped person to enter or leave the "residence premises".

(2) "We" will also pay "your" reasonable expense, up to \$2,000, for the removal from the "residence premises" of:

- (a) Trees felled by, or the debris of trees, shrubs and other plants occasioned by the Causes of Loss of:
 - 1) Windstorm;
 - 2) Hail; or
 - 3) Weight of Ice, Snow or Sleet; or
- (b) Trees felled by a Covered Cause of Loss under Coverage **C**, provided the tree(s) do not:
 - 1) Damage a covered structure;
 - 2) Block a driveway; or
 - 3) Block a ramp or other access way designed to assist a handicapped person to enter or leave the "residence premises".

The \$2,000 limit stated in **a.(2)** is the most "we" will pay in any one "physical loss" regardless of the number of fallen trees, amount of debris from trees, shrubs and other plants, or to whom they belong.

b. Trees, Shrubs and Other Plants

(1) "We" will pay for "physical loss" to outdoor trees, shrubs, plants or lawns, on the "residence premises" caused by the following Causes of Loss:

- (a) Fire or lightning;
- (b) Explosion;
- (c) Riot or civil commotion;
- (d) Aircraft;
- (e) Vehicles not owned or operated by an "insured";

- (f) Vandalism and malicious mischief; or
 - (g) Theft.
- (2) The most "we" will pay is 10% of the Coverage **A** Limit of Insurance stated in the Declarations for all outdoor trees, shrubs, plants and lawns, including the removal of the debris thereof, but not more than \$10,000 for any one tree, shrub or plant.

"We" will not pay for property grown for "business" purposes.

c. Land Restoration

"We" will pay up to the greater of \$10,000 or 10% of a Covered Cause of Loss to the "residence premises" for costs required to replace, rebuild, stabilize, excavate or restore the land necessary to support the "residence premises" or other structure where the "physical loss" occurs. However, "we" will not pay for "physical loss" to a retaining wall caused by hydrostatic water pressure.

d. Fire and Police Department Service Charge

"We" will pay up to \$2,500 for:

- (1) "Your" liability assumed prior to the "physical loss" by contract or agreement for fire department charges incurred when the fire department is called to save or protect Covered Property from a Covered Cause of Loss; or
- (2) Fire or police department charges incurred when the fire or police department is called due to the accidental activation of an alarm system.

No deductible applies to this coverage.

e. Property Removed

If "you" remove Covered Property from "your" premises because a Covered Cause of Loss endangers it, the Covered Property is covered for 90 days against all forms of direct "physical loss". This coverage does not change the limit of insurance that applies to Covered Property being removed.

f. Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money

- (1) "We" will pay up to \$10,000 for:
 - (a) The legal obligation of an "insured" to pay because of the theft or unauthorized use of credit cards issued to or registered in an "insured's" name;
 - (b) Loss of funds resulting from theft or unauthorized use of an electronic fund transfer card or access device used for deposit, withdrawal or transfer of funds, issued to or registered in an "insured's" name;
 - (c) Loss of funds suffered by an "insured" caused by forgery or alteration of any check or negotiable instrument made or drawn upon the "insured's" account; and
 - (d) Loss of funds suffered by an "insured" through acceptance in good faith of counterfeit United States or Canadian paper currency.
- (2) "We" do not cover use of a credit card, electronic fund transfer card or access device:
 - (a) By a resident of "your" household;
 - (b) By a person who has been entrusted with either type of card or access device; or
 - (c) If an "insured" has not complied with all terms and conditions under which the cards are issued or the devices accessed.
- (3) All loss of funds resulting from a series of acts committed by any one person or in which any one person is concerned or implicated is considered to be one loss of funds.
- (4) "We" do not cover loss of funds arising out of any "business" use or dishonesty of an "insured".
- (5) "We" do not cover losses or "identity theft expenses" insured under Section **I, A.5. Additional Coverage q. Identity Theft Expense and Advocacy Services**.
- (6) No deductible applies to this coverage.
- (7) Defense:

- (a) "We" may investigate and settle any claim or "suit" that "we" decide is appropriate;
- (b) If a "suit" is brought against an "insured" for liability under the Credit Card, Electronic Fund Transfer Card or Access Device coverage, "we" will provide a defense at "our" expense by counsel of "our" choice; and
- (c) "We" have the option to defend at "our" expense an "insured" or an "insured's" bank against any "suit" for the enforcement of payment under the Forgery Coverage.

"Our" duty to defend a claim or "suit" ends when the amount "we" pay for the loss of funds equals the limit of insurance stated in **f.(1)**, above.

g. Assessments

- (1) "We" will pay up to \$100,000 for "your" share of any assessment charged during the "coverage term" against "you" by a corporation or association of property owners to which "you" belong. The assessment must be made as a result of a direct "physical loss" which occurs during the "coverage term" to the property owned by all members collectively, of the type that would be covered by this policy if owned by "you", caused by a Covered Cause of Loss under Section **I** - Coverage **A** - Dwelling, other than:
 - (a) Earthquake; or
 - (b) Land shock waves or tremors before, during or after a volcanic eruption.
- (2) This coverage applies only to assessments charged against "you" as owner or tenant of the "residence premises".
- (3) Irrespective of Paragraph **g.(1)** above, "we" will pay no more than \$10,000 for an assessment that results from a deductible in the insurance purchased by the corporation or association of property owners to which "you" belong.
- (4) "We" do not cover assessments charged against "you" or a corporation or association of property owners by any governmental body.
- (5) The limit of \$100,000 is the most "we" will pay with respect to any one "physical loss", regardless of the number of assessments. "We" will only apply one deductible, per unit, to the total amount of any one "physical loss" to the property described above, regardless of the number of assessments.
- (6) No deductible applies to this Additional Coverage.

h. Collapse

- (1) "We" insure for direct "physical loss" to Covered Property involving abrupt collapse of a building or any part of a building if such collapse was caused by one or more of the following:
 - (a) The "specified causes of loss". These Causes of Loss apply to covered building and personal property for "physical loss" insured by this additional coverage;
 - (b) Decay, of a building or any part of a building, that is hidden from view, unless the presence of such decay is known to an "insured" prior to collapse;
 - (c) Insect or vermin damage, to a building or any part of a building, that is hidden from view, unless the presence of such damage is known to an "insured" prior to collapse;
 - (d) Weight of contents, equipment, animals or people;
 - (e) Weight of rain which collects on a roof;
 - (f) Use of defective material or methods in construction, remodeling or renovation if the collapse occurs during the course of the construction, remodeling or renovation; or
 - (g) Water or waterborne material below the surface of the ground, including water or waterborne material, which exerts pressure on or seeps or leaks through a building, sidewalk, driveway, foundation, swimming pool or other structure.

"Physical loss" to an awning, fence, patio, pavement, swimming pool, underground pipe, flue, drain, cesspool, septic tank, foundation, retaining wall, bulkhead, pier, wharf, or dock is not included under Items **(b)**, **(c)**, **(d)**, **(e)**, **(f)** and **(g)** unless the "physical loss" is a direct result of the collapse of a building or any part of a building.

This coverage does not increase the Limit of Insurance applying to the damaged Covered Property.

(2) With respect to buildings:

- (a) Collapse means an abrupt falling down or caving in of a building or any part of a building;
- (b) A building or any part of a building in imminent danger of collapse is not considered to be in a state of collapse;
- (c) A building standing or any part of a building standing is not considered to be in state of collapse even if it:
 - 1) Has separated from another part of a building; or
 - 2) Shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expanding.

i. Glass or Safety Glazing Material

(1) "We" cover:

- (a) The breakage of glass or safety glazing material which is part of a covered building, storm door or storm window;
- (b) The breakage, caused directly by Earth Movement, of glass or safety glazing material which is part of a covered building, storm door or storm window; and
- (c) The direct "physical loss" to Covered Property caused solely by the pieces, fragments or splinters of broken glass or safety glazing material which is part of a building, storm door or storm window.

(2) This coverage does not include "physical loss" to:

- (a) Covered Property which results because the glass or safety glazing material has been broken, except as provided in (1)(c) above; or
- (b) The "residence premises" if the dwelling has been vacant for more than 30 consecutive days immediately before the "physical loss" except when the breakage results from Earth Movement as provided for in (1)(b) above. A dwelling being constructed is not considered vacant.

This coverage does not increase the limit of insurance that applies to the damaged property.

j. Reward

"We" will provide a \$5,000 reward for information leading to the arrest and conviction of person(s) responsible for a covered arson, theft, vandalism or burglary "physical loss".

k. Ordinance or Law

After a covered loss, "we" will pay for the increased costs "you" incur caused by the enforcement of any ordinance or law which requires or regulates:

- (a) The construction, demolition, remodeling, renovation or repair of the damaged part of a covered building or other structure made necessary by a Covered Cause of Loss;
- (b) The remodeling, replacement or removal of the portion of the undamaged part of covered building or other structure necessary to complete the remodeling, replacement or removal of that part of the building or other structure damaged by a Covered Cause of Loss; or
- (c) The demolition and reconstruction of the undamaged part of a covered building or other structure, when that building or other structure must be totally demolished because of damage by a Covered Cause of Loss to another part of that covered building or other structure.

This Additional Coverage does not apply unless "you" repair, replace or rebuild the building or other structure at the same location.

l. Grave Markers

"We" will pay up to \$10,000 for grave markers, including mausoleums, on or away from the "residence premises" in which an "insured" has an insurable interest, but only to the extent of that interest, for "physical loss" caused by a Covered Cause of Loss under Section I - Coverage C.

This coverage does not increase the limits of insurance that apply to the damaged Covered Property.

m. Fungi, Wet or Dry Rot, or Bacteria

- (1) The amount shown in the Declarations Page for Section **I** - Fungi, Wet or Dry Rot, or Bacteria is the most "we" will pay at each "location" under this Additional Coverage during the "coverage term" for:
 - (a) The total of all "physical loss" payable under Section **I** - Property Coverages caused by "fungi", wet or dry rot, or bacteria;
 - (b) The cost to remove "fungi", wet or dry rot, or bacteria from Covered Property under Section **I** - Property Coverages;
 - (c) The cost to tear out and replace any part of the building or other Covered Property as needed to gain access to the "fungi", wet or dry rot, or bacteria; and
 - (d) The cost of testing of air or property to confirm the absence, presence or level of "fungi", wet or dry rot, or bacteria whether performed prior to, during or after removal, repair, restoration or replacement. The cost of such testing will be provided only to the extent that there is a reason to believe that there is the presence of "fungi", wet or dry rot, or bacteria.
- (2) "We" will pay up to 20% of the Coverage **A** limit of insurance shown in the Declarations for ensuing "fungi", wet or dry rot, or bacteria for the following:
 - (a) The reasonable increase in living expense; and
 - (b) The fair rental value of that part of the "residence premises" rented to others.
- (3) The coverage described in **m.(1)** and **(2)** above only applies when such "physical loss" or costs are a result of a Covered Cause of Loss that occurs during the "coverage term" and only if all reasonable means were used to save and preserve the property from further damage at and after the time the Covered Cause of Loss occurred.
- (4) If there is covered "physical loss" to Covered Property, not caused, in whole or in part, by "fungi", wet or dry rot, or bacteria, payment for "physical loss" will not be limited by the terms of this Additional Coverage, except to the extent that "fungi", wet or dry rot, or bacteria causes an increase in the "physical loss". Any such increase in the "physical loss" will be subject to the terms of this Additional Coverage.

This coverage does not increase the limit of insurance applying to the damaged covered property.

n. Business Property

- (1) "We" will pay up to \$25,000 on property "you" own or for which "you" are legally liable used for "business" purposes while on or away from the "residence premises" for "physical loss" caused by a Covered Cause of Loss under Section **I** - Coverage **C**.
- (2) Regardless of any provisions in this policy to the contrary, "we" will pay the cost of replacing or re-creating "business" data contained in books, records, and software if it is actually replaced or re-created. This coverage is included within the applicable limit of insurance per **n.(1)** above.

This coverage does not increase the limits of insurance that apply to the damaged Covered Property.

o. Sewer or Drain Back Up

"We" will pay for "physical loss" caused by water or waterborne material which backs through sewers or drains.

This coverage does not increase the limits of insurance that apply to the damaged Covered Property.

p. Refrigerated Property

"We" will pay for "physical loss" to the contents of a freezer or refrigerator on the "residence premises", when the "physical loss" results from a power failure or mechanical breakdown. For a covered loss to wine, "we" will not pay more than \$5,000.

"You" must use reasonable means to protect the property from further "physical loss" when a power failure or mechanical breakdown occurs, or this Additional Coverage does not apply.

This coverage does not increase "your" amount of insurance. A \$250 deductible applies to this Additional Coverage.

q. Identity Theft Expense and Advocacy Services

- (1) "We" will pay up to \$100,000 in total for all "identity theft expenses" incurred by an "insured" as the direct result of any one "identity theft" first discovered or which reasonably should have been discovered by the "insured" on or after the inception date of this policy and during the "coverage term".
- (2) "We" will provide "advocacy services" subject to the following:
 - (a) The use of "advocacy services" will not reduce the limits of insurance applicable to this Additional Coverage;
 - (b) No deductible applies to "advocacy services";
 - (c) Initial contact with the "advocacy services" consultant, must be made on or after the inception date of this policy and during the "coverage term"; and
 - (d) The results or outcome of "advocacy services" are not guaranteed.
- (3) "We" do not cover:
 - (a) "Identity theft expenses" arising out of the "business" pursuits of any "insured";
 - (b) "Identity theft expenses" incurred due to any fraudulent, dishonest or any criminal act by an "insured" or any person acting in collusion with an "insured", or by any authorized representative of an "insured", whether acting alone or in collusion with others;
 - (c) Loss other than "identity theft expenses"; or
 - (d) Loss insured under Section I, A.5. Additional Coverage f. Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money.

No deductible applies to this Additional Coverage.

r. Guaranteed Replacement Cost Protection

- (1) If "you" have:
 - (a) Kept, at a minimum, the level of insurance coverage for "your" dwelling or other structures previously agreed to, including any adjustments for inflation, revaluation, appraisals, or any adjustments made by "us";
 - (b) Notified "us" at the beginning of, throughout, and at the completion of any alterations to the dwelling or other structures;
 - (c) Notified "us" of any renovation, alteration or addition to the dwelling or other structures that increases the value by the lesser of 10% of the amount of coverage for the dwelling or other structures as shown on the declarations page or \$500,000 and allowed "us" to adjust the Coverage A or Coverage B limit of insurance and premium accordingly;
 - (d) Notified "us" if a residence has been vacant for more than 30 consecutive days immediately before a covered loss; and
 - (e) Elected to repair or replace the damaged building.
- (2) "We" will:
 - (a) Increase the Coverage A limit of insurance to equal the current replacement cost of the dwelling if the amount of "physical loss" to the dwelling is more than the limit of insurance indicated on the Declarations. However, if the "physical loss" for which a claim has been made was caused by "sinkhole activity" or "mine subsidence" and "sinkhole activity" or "mine subsidence" are a Covered Cause of Loss under this policy, this provision shall not apply;
 - (b) Increase the Coverage B limit of insurance to equal the current replacement cost of the other structures if the amount of "physical loss" to the other structures is more than the limit of insurance indicated on the Declarations. However, if the "physical loss" for which a claim has been made was caused by "sinkhole activity" or "mine subsidence" and

"sinkhole activity" or "mine subsidence" are a Covered Cause of Loss under this policy, this provision shall not apply. Also, when Coverage **B** limit of insurance shown in the Declarations is less than 20% of the Coverage **A** limit of insurance, the most "we" will pay for Coverage **B** is the coverage limit shown on "your" Declarations;

- (c) Also increase by the same percentage applied to Coverage **A** the limits of insurance for Coverages **B** and **C**. However, "we" will do this only if the Coverage **A** limit of insurance is increased under Paragraph **(2)(a)** above as a result of a Coverage **A** "physical loss"; and
 - (d) Adjust the policy premium from the time of "physical loss" for the remainder of the policy period based on the increased limits of insurance.
- (3)** If "you" comply with the provisions of this Additional Coverage and there is a "physical loss" to a building insured under Coverage **A** or Coverage **B**, Section **I, D. Condition 3. Loss Settlement Paragraph b.** is deleted and replaced by the following:
- b.** Buildings under Coverage **A** or **B**, including, but not limited to swimming pools, decks, fences, satellite dishes, awnings, wall to wall carpeting, and built-in household appliances, at replacement cost without deduction for depreciation. "We" will pay no more than the smaller of the following amounts for equivalent construction and use on the same premises:
 - (1)** The replacement cost of the building or any parts of it; or
 - (2)** The amount actually and necessarily spent to repair or replace the building or any parts of it.
- (4)** Please note, in order to have a "physical loss" settled on the basis of the provisions of this Additional Coverage, **r. Guaranteed Replacement Cost Protection**, the damaged Covered Property must be rebuilt or replaced at the same location of the damaged Covered Property. If the damaged Covered Property is not rebuilt or replaced or rebuilt or replaced at a different location, "we" will pay the Coverage **A** or Coverage **B** amount shown in the Declarations.

s. Electronic Data Restoration

"We" will pay up to \$10,000 in total during any one "coverage term" to replace, restore or recreate an "insured's" personal "electronic data" stored on a computer owned by an "insured", when replacement, restoration or recreation at the "insured's" expense is necessitated by the introduction of a "malicious code" to that computer.

t. Lock Replacement

If the keys to "your" dwelling are lost or stolen, "we" will pay "your" reasonable expenses to rekey or replace the locks. "You" must notify "us" in writing within 72 hours of discovering the loss.

No deductible applies to this Additional Coverage.

u. Mortgage Expense

"We" will pay up to \$5,000 for legal costs related to the mortgage, including fees for attorneys, title searches, appraisals and applications incurred by "you" if a total loss occurs to the "residence premises" from a Covered Cause of Loss. However, legal costs do not include fines, judgments, points, service charges or legal services provided by an attorney other than "your" own.

No deductible applies to this Additional Coverage.

v. Loss Prevention Devices

After a covered loss, for which "we" pay \$10,000 or more, "we" will pay up to \$5,000 to reimburse "your" reasonable cost of labor incurred for the installation of an approved loss mitigation measure or loss prevention device to protect "your" residence against the same loss in the future. Examples of approved loss prevention devices include, but are not limited to, fire alarm systems, fire suppression systems, security systems, sump pumps, automatic water shut-off devices, lightning suppression systems, and back-up power systems. In the event of loss due to water leaking from a broken pipe or plumbing fixture, coverage is only applicable to "your" first such loss. This additional coverage does not apply to losses that result from a hurricane or "named storm".

This Additional Coverage applies only if the Covered Cause of Loss exceeds the applicable deductible and is not in addition to the limit of insurance that applies to the Covered Property.

w. Pets

"We" will pay for property damage caused by a domestic animal "you" own. "We" will also pay up to \$5,000 for the following reasonable expenses "you" incur that directly result from a covered loss which damages a "residence premises" covered by this policy:

- (1) The kenneling of "your domestic animal if "you" are displaced from "your" "residence premises";
- (2) Veterinarian service charges to treat "your" injured domestic animal;
- (3) Expenses related to the euthanizing of "your" domestic animal, including burial and cremation expenses; and
- (4) The costs associated with the replacement of "your" domestic animal with one of a similar breed.

This \$5,000 limit is the most "we" will pay for any one loss for the total of all expenses, regardless of the number of domestic animals.

x. Temporary Repairs

"We" will pay "your" reasonable and necessary cost incurred by "you" for the temporary repairs made to protect Covered Property from further damage caused by a Covered Cause of Loss.

This Additional Coverage:

- (1) Is not in addition to the limit of insurance that applies to the covered property; and
- (2) Does not relieve "you" of "your" duties in case of a loss to covered property, as described in **D. Section I - Conditions, 2. Your Duties After Loss.**

y. Moving and Storage Expenses

"We" will pay for the reasonable expenses "you" incur for the moving and storing of Covered Personal Property from a "residence premises" because the property is endangered by a loss covered by this policy. "We" will continue to pay for these expenses for up to 90 days.

z. Preventative Measures Expenses

"We" will reimburse "you" up to \$10,000 for the reasonable and necessary expenses incurred for the protection of the "residence premises" because the "residence premises" is in "imminent" danger from an act of nature or wildfire covered by this policy.

With respect to this Additional Coverage, "imminent" means for a:

- (1) Hurricane, "named storm", tropical storm, nor'easter, blizzard, or similar weather event:
 - (a) The approaching act of nature is within 72 hours of directly impacting the "residence premises"; or
 - (b) A civil authority initiates an evacuation order for the area including the "residence premises" as a result of the approaching act of nature.
- (2) Wildfire:
 - (a) An approaching wildfire is within three miles of the "residence premises"; or
 - (b) A civil authority initiates an evacuation order for the area including their "residence premises" as a result of an approaching wildfire.

No deductible applies to this Additional Coverage.

aa. Kidnap Expenses

"We" will pay, up to \$100,000, for reasonable "kidnap expenses" incurred by an "insured" as a result of a covered "kidnap and ransom event".

- (1) "We" will also pay up to \$25,000 to any person for information leading to the arrest and conviction of the person(s) responsible for the "kidnap and ransom event". This reward coverage is not available to "you", a family member or any "insured".
- (2) "We" do not cover expenses incurred due to a "kidnap and ransom event" caused by:
 - (a) "You", a family member or any "insured";

- (b) Any guardian, or former guardian of "you", a family member or any "insured";
- (c) Any domestic partner, estranged domestic partner, or former domestic partner of "you", a family member or any "insured";
- (d) Any person unrelated to "you" who lives with "you" or has ever lived with "you", other than a person employed by "you" for domestic work, farm work or as residential staff;
- (e) Any authorized representative of "you", a family member or any "insured"; or
- (f) Civil authority.

bb. Emergency Cancellation Expense

If a covered "physical loss" under Section I causes the "residence premises" to be uninhabitable "we" will reimburse "you" up to \$5,000 for:

- (1) Necessary nonrefundable extra expenses "you" incur due to cancellation or reassignment of a planned special event that was scheduled to be held at the "residence premises", or
- (2) Necessary travel expenses "you" incur due to cancellation or reassignment of scheduled nonrefundable trip expenses due to the covered "physical loss" at the "residence premises".

cc. Alternative Power and Water Expenses

If a covered "physical loss" under Section I damages "your" "alternative power system" or "alternative water system" located on the grounds of "your" "residence premises" "we" will pay up to \$50,000 for:

- (1) The increase of power utility expenses "you" incur when a Covered Cause of Loss to "your" "alternative power system" makes it necessary for "you" to purchase all of "your" electrical power from a power utility company, "We" will cover the increase in utility expense for the reasonable amount of time required to restore or replace the system;
- (2) "Power utility loss of income" "you" incur when "your" "alternative power system" is damaged due to a Covered Cause of Loss. "We" will cover this loss of income for the reasonable amount of time required to restore or replace the system; and
- (3) The increase of water expenses "you" incur when a Covered Cause of Loss to "your" "alternative water system" makes it necessary for "you" to purchase replacement water for residential watering of the grounds of "your" "residence premises". "We" will cover the increase in water expense for the reasonable amount of time required to restore or replace the system. This expense coverage does not apply if loss is only to the system's sprinkler heads.

This Additional Coverage does not increase the Coverage A or Coverage B Limit of Insurance shown in the Declarations and applies only if "you" begin repairs or replacement of the "alternative power system" or "alternative water system" within 180 days of the date of the covered "physical loss".

No deductible applies to this Additional Coverage.

dd. Green Coverage

- (1) "We" will pay up to \$10,000 for the reasonable cost to repair or replace covered damaged property using products or materials that are:
 - (a) "Green" alternatives to the products or materials of the covered property, in accordance with the standards of a "green authority"; and
 - (b) Otherwise of comparable quality and function to the covered property.
- (2) The \$10,000 limit is the most "we" will pay for any one loss, regardless of the:
 - (a) Number of locations insured; or
 - (b) Number of claims made.

(3) This Additional Coverage:

- (a)** Is limited to the actual item(s) damaged and does not extend to any property that did not sustain direct "physical loss" or damage (including parts to entire systems, pairs or sets); and
- (b)** Applies only if the covered loss exceeds the applicable deductible.

ee. Earthquake

- (1)** "We" insure for direct "physical loss" to Covered Property under Coverage **C** - Personal Property under Section **I** caused by earthquake including land shock waves or tremors before, during or after a volcanic eruption.
- (2)** "We" do not cover "physical loss" resulting directly or indirectly from flood of any nature or waves including tidal wave and tsunami, whether caused by, resulting from, contributed to or aggravated by earthquake.

This coverage does not increase the limits of insurance that apply to the damaged Covered Property under Coverage **C** and does not include the cost of filling land.

B. Section I - Covered Causes of Loss

Coverage A - Dwelling, Coverage B - Other Structures and Coverage C - Personal Property

The following Covered Causes of Loss apply to Covered Property under Coverage **A** - Dwelling, Coverage **B** - Other Structures and Coverage **C** - Personal Property:

"We" insure direct "physical loss" unless the "physical loss" is:

- 1.** Excluded in Section **I** - Property Coverages, **C. Section I** - Exclusions; or
- 2.** Limited in Section **I, A.3.c.** Special Limits of Insurance.

C. Section I - Exclusions

Exclusions Applicable to Coverage A - Dwelling, Coverage B - Other Structures and Coverage C - Personal Property

The following exclusions apply to Coverage **A** - Dwelling, Coverage **B** - Other Structures and Coverage **C** - Personal Property:

- 1.** "We" do not insure "physical loss" caused by:
 - a.** Freezing of a plumbing, heating, air conditioning or automatic fire protective sprinkler system or of a household appliance, or by discharge, leakage or overflow from within the system or appliance caused by freezing.

This provision does not apply if "you" have used reasonable care to:

 - (1)** Maintain heat in the building; or
 - (2)** Shut off the water supply and drain all systems and appliances of water.

However, if the building is protected by an automatic fire protective sprinkler system, "you" must use reasonable care to continue the water supply and maintain heat in the building for coverage to apply.

For purposes of this provision a plumbing system or household appliance does not include a sump, sump pump or related equipment or a roof drain, gutter, downspout or similar fixtures or equipment.
 - b.** Freezing, thawing, pressure or weight of water, snow or ice, whether driven by wind or not, to a:
 - (1)** Fence, pavement, patio or swimming pool;
 - (2)** Footing, foundation, bulkhead, wall, or any other structure or device, that supports all or part of a building or other structure;
 - (3)** Retaining wall or bulkhead that does not support all or part of a building or other structure; or
 - (4)** Pier, wharf or dock.
 - c.** Any of the following:
 - (1)** Wear and tear, marring, deterioration;

- (2) Mechanical breakdown, latent defect, inherent vice or any quality in property that causes it to damage or destroy itself;
- (3) Smog, rust, or other corrosion;
- (4) Smoke or soot from:
 - (a) Agricultural smudging;
 - (b) Industrial operations;
 - (c) Candles;
 - (d) Incense; or
 - (e) Oil lamps;
- (5) Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by one or more of the "specified causes of loss";
- (6) Settling, shrinking, bulging or expansion, including resultant cracking, of bulkheads, pavements, patios, footings, foundations, walls, floors, roofs or ceilings;
- (7) Birds, rodents or insects;
- (8) Nesting or infestation, or discharge or release of waste products or secretions, by any animals; or
- (9) Animals owned or kept by an "insured" except domestic animals as provided in Section **I, A.5. Additional Coverage, w. Pets.**

However, **1.c.(7)** and **(8)** do not apply to "physical loss" caused by the sudden intrusion of birds, squirrels, beavers, or groundhogs provided neither nesting nor infestation has occurred.

Exception to 1.c.

Unless the "physical loss" is otherwise excluded, "we" cover "physical loss" to Covered Property under Section **I - Coverages A, B or C** resulting from an accidental discharge or overflow of water or steam from within a plumbing, heating, air conditioning or automatic fire protective sprinkler system or household appliance on the "residence premises". This includes the cost to tear out and replace any part of the dwelling, on the "residence premises", but only when necessary to repair the system or appliance. However, such tear out and replacement coverage only applies to Other Structures if the water or steam causes actual "physical loss" to the Other Structure on the "residence premises".

"We" do not cover "physical loss" to the system or appliance from which the water or steam escaped.

For the purposes of this provision, a plumbing system or household appliance does not include a sump, sump pump or related equipment; or a roof drain, gutter, down spout or similar fixtures or equipment.

Section **I, C.4., Exclusion c., Paragraph (1)** that applies to surface water does not apply to "physical loss" by water covered under this Exception to **1.c.**

- d. Weather conditions. However, this exclusion only applies:
 - (1) If weather conditions contribute in any way with a cause or event excluded under Section **I, C. Section I - Exclusions, Paragraph 4.** below to produce the "physical loss"; and
 - (2) To Coverages **A and B.**
- e. Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body. This Exclusion **e.** applies only to Coverages **A and B.**
- f. Faulty, inadequate or defective:
 - (1) Planning, zoning, development, surveying, siting;
 - (2) Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;
 - (3) Materials used in repair, construction, renovation or remodeling; or
 - (4) Maintenance;

of part or all of any property whether on or off the "residence premises".

This Exclusion **f.** applies only to Coverages **A** and **B**.

- g.** Constant or repeated seepage or leakage of water or the presence or condensation of humidity, moisture or vapor, over a period of weeks, months or years unless such seepage or leakage of water or the presence or condensation of humidity, moisture or vapor and the resulting damage is unknown to all "insureds" and is hidden within the walls or ceilings or beneath the floors or above the ceilings of a structure.
- 2.** The following exclusions apply to Coverage **C** only.
- "We" do not insure "physical loss" caused by:
- a.** Dampness of atmosphere or extremes of temperature unless the direct cause of loss is rain, snow, sleet or hail.
 - b.** Refinishing, renovating or repairing property other than watches, jewelry or furs.
 - c.** Collision (other than collision with a land vehicle), sinking, swamping or stranding of watercraft, including their trailers, furnishings, equipment and outboard motors.
- 3.** Under Section **I, C.** Section **I** - Exclusions, Paragraphs **1.** and **2.**, any ensuing "physical loss" to Covered Property in Section **I** - Coverages **A, B** and **C** not precluded by any other provision in this policy is covered.
- 4.** "We" will not pay for "physical loss" resulting directly or indirectly by any of the following. Such "physical loss" is excluded regardless of any other cause or event contributing concurrently or in any sequence to the "physical loss". These exclusions apply whether or not the "physical loss" event results in widespread damage or affects a substantial area.
- a.** Ordinance or Law, meaning any ordinance or law:
 - (1)** Requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris. This Exclusion **4.a.(1)** does not apply to the amount of coverage that may be provided under Section **I, A.5.** Additional Coverage **k.** Ordinance or Law;
 - (2)** The requirements of which result in a reduction in value to property; or
 - (3)** Requiring an "insured" or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".
 - b.** Earth Movement, meaning:
 - (1)** Earthquake including land shock waves or tremors before during or after a volcanic eruption;
 - (2)** Landslide, mudslide or mudflow;
 - (3)** Subsidence or sinkhole; or
 - (4)** Any other earth movement including earth sinking, rising or shifting;

This Exclusion **4.b.** applies regardless of whether any of the above, in **4.b.(1)** through **4.b.(4)**, is caused by an act of nature or is otherwise caused.

However, direct "physical loss" by fire, explosion, theft or breakage of glass or safety glass resulting from any of the above, in **4.b.(1)** through **4.b.(4)**, is covered.

This exclusion does not apply to the extent that coverage is provided under Section **I, A.5.** Additional Coverages **ee.** Earthquake.
 - c.** Water, meaning:
 - (1)** Flood, surface water, waves, including tidal wave and tsunami, tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind, including storm surge;
 - (2)** Waterborne material carried or otherwise moved by any of the water referred to in **C.4.c.(1)** above; or
 - (3)** Water or waterborne material which backs up through sewers or drains, except as provided in Section **I, A.5.** Additional Coverage **o.** Sewer or Drain Back Up.

This Exclusion (**C.4.c.**) applies regardless of whether any of the above, in **C.4.c.(1)** through **C.4.c.(3)**, is caused by an act of nature or is otherwise caused.

This Exclusion (**C.4.c.**) applies to, but is not limited to, escape, overflow or discharge, for any reason, of water or waterborne material from a dam, levee, seawall or any other boundary or containment system.

However, direct loss by fire, explosion or theft resulting from any of the above, in **C.4.c.(1)** through **C.4.c.(3)**, is covered.

- d. Utility Failure, meaning the interruption of power or other utility service if the interruption takes place away from the "residence premises". But if the failure of power or other utility service results in a "physical loss" from a Covered Cause of Loss on the "residence premises", "we" will pay only for "physical loss" caused by that Covered Cause of Loss.
- e. Neglect, meaning neglect of an "insured" to use all reasonable means to save and preserve Covered Property at and after the time of a "physical loss", or when Covered Property is endangered by a Covered Cause of Loss.
- f. War, including the following and any consequence of any of the following:
 - (1) Undeclared war, civil war, insurrection, rebellion, revolution;
 - (2) Warlike act by a military force or military personnel; or
 - (3) Destruction, seizure or use for a military purpose.

Discharge of a nuclear weapon shall be deemed a warlike act even if accidental.

- g. "Nuclear hazard".
- h. Intentional damage, meaning any damage arising out of any act an "insured" commits or conspires to commit with the intent to cause damage.

In the event of such damage, no "insured" is entitled to coverage, even "insureds" who did not commit or conspire to commit the act causing the damage.

- i. Governmental Action, meaning the destruction, confiscation or seizure of Covered Property in Section **I** - Coverage **A**, **B** or **C** by order of any governmental or public authority.

This exclusion does not apply to such acts ordered by any governmental or public authority that are taken at the time of a fire to prevent its spread, if the "physical loss" caused by fire would be covered under this policy.

- j. "Fungi", wet or dry rot, or bacteria meaning the presence, growth, proliferation, spread or any activity of "fungi", wet or dry rot, or bacteria.

This exclusion does not apply:

- (1) When "fungi", wet or dry rot, or bacteria results from fire or lightning; or
- (2) To the extent coverage is provided for in Section **I**, **A.5**. Section **I** - Additional Coverage **m**. Fungi, Wet or Dry Rot, or Bacteria with respect to "physical loss" caused by a Covered Cause of Loss other than fire or lightning.

Direct loss by a Covered Cause of Loss resulting from "fungi", wet or dry rot, or bacteria is covered.

- k. Collapse, including any of the following conditions of property or any part of the property:
 - (1) An abrupt falling down or caving in;
 - (2) Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or
 - (3) Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to (1) or (2) above;

other than as provided for in Section **I**, **A.5**. Additional Coverage **h**. Collapse.

- l. "We" do not cover any loss caused by misappropriation, meaning the taking, damaging or destroying of personal property by or at the direction of an "insured".

D. Section I - Conditions

1. Insurable Interest and Limit of Insurance

Even if more than one person has an insurable interest in the Covered Property, "we" will not be liable in any one "physical loss":

- a.** To an "insured" for more than the amount of such "insured's" interest at the time of "physical loss"; or
- b.** For more than the applicable Limit of Insurance:
 - (1)** Stated in the Declarations;
 - (2)** Stated in an endorsement attached to this policy; or
 - (3)** As provided in **Section I, A.5. Section I - Additional Coverages.**

2. Your Duties After Loss

In case of a "physical loss" to Covered Property, "we" have no duty to provide coverage under this policy if the failure to comply with the following duties is prejudicial to "us". These duties must be performed either by "you", or "your" representative, or by an "insured" seeking coverage, if not "you".

- a.** Give immediate notice to "us" or "our" agent;
- b.** Notify the appropriate law enforcement agency in case of:
 - (1)** "Physical loss" by theft;
 - (2)** An "identity theft"; or
 - (3)** A "kidnap and ransom event".
- c.** Notify the credit card, electronic fund transfer card or access device company in case of loss of funds under the Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money coverage;
- d.** Protect the Covered Property from further damage. If repairs to the Covered Property are required, "you" must:
 - (1)** Make reasonable and necessary repairs to protect the Covered Property; and
 - (2)** Keep an accurate record of repair expenses;
- e.** Cooperate with "us" in the investigation of a claim;
- f.** Prepare an inventory of damaged personal property showing the quantity, description, "actual cash value" and amount of "physical loss" and attach all bills, receipts and related documents that justify the figures in the inventory;
- g.** As often as "we" reasonably require:
 - (1)** Exhibit the damaged property;
 - (2)** Provide "us" with records and documents "we" request and permit "us" to make copies; and
 - (3)** Submit to examination under oath, while not in the presence of another "insured", and sign the same;
- h.** Submit to "us", within 60 days after "we" request, "your" signed, sworn proof of "physical loss" which sets forth, to the best of "your" knowledge and belief:
 - (1)** The time and cause of "physical loss";
 - (2)** The interests of all "insureds" and all others in the property involved and all liens on the property;
 - (3)** Other insurance which may cover the "physical loss";
 - (4)** Changes in title or occupancy of the property during the "coverage term";
 - (5)** Specifications of any damaged building and detailed estimates for repair of the damage;
 - (6)** An inventory of damaged personal property described in **2.f.** above;

- (7) Receipts for additional living expenses incurred and records supporting the fair rental value loss of income;
- (8) Evidence or affidavit supporting a claim under the Credit Card, Electronic Fund Transfer Card, or Access Device, Forgery and Counterfeit Money coverage, stating the amount and cause of the loss of funds;
- (9) Receipts, bills, a completed Federal Trade Commission Identity Theft Victim's Complaint and Affidavit and other records that support "your" or any other "insured's" claim for "identity theft expenses" under Identity Theft Expense and Advocacy Services coverage; or
- (10) Receipts, bills and other records that support "your" claim for "kidnap expenses".

3. Loss Settlement

In this Condition **3.**, the terms 'cost to repair or replace' and 'replacement cost', do not include the increased costs incurred to comply with the enforcement of any ordinance or law, except to the extent that coverage for these increased costs is provided in Section **I, A.5. Additional Coverage k. Ordinance or Law**. Covered property losses are settled as follows:

- a. Personal property, at the full cost of repair or replacement (without deduction for depreciation);
 - (1) However:
 - (a) "We" will not pay for any "physical loss" under this Condition which is collectible under other insurance; and
 - (b) Any item or article that is:
 - 1) Not maintained or in good workable condition; or
 - 2) Outdated or obsolete and is stored or not being used; or
 - 3) Of no practical value to the "insured" at the time of "physical loss";
 will be settled at its "actual cash value".
 - (2) "We" shall pay no more than the least of the following amounts:
 - (a) The cost of replacement at the time of "physical loss";
 - (b) The full cost of repair; or
 - (c) Any Special Limits of Insurance described in the policy.
- b. All Covered Property under Section **I - Coverage A or B**, not otherwise referenced in Paragraph **3.a.** above, at replacement cost without deduction for depreciation, subject to the following:
 - (1) If, at the time of "physical loss", the amount of insurance in this policy on the damaged Covered Property is 80% or more of the full replacement cost of the Covered Property immediately before the "physical loss", "we" will pay the cost to repair or replace, after application of deductible and without deduction for depreciation, but not more than the least of the following amounts:
 - (a) The Limit of Insurance under this policy that applies to the Covered Property;
 - (b) The replacement cost of that part of the Covered Property damaged with material of like kind and quality and for like use; or
 - (c) The necessary amount actually spent to repair or replace the damaged Covered Property.

If the Covered Property is rebuilt at a new premises the cost described in **3.b.(1)(b)** is limited to the cost which would have been incurred if the Covered Property had been rebuilt at the original premises.
 - (2) If, at the time of "physical loss", the amount of insurance in this policy on the damaged building is less than 80% of the full replacement cost of the building immediately before the "physical loss", "we" will pay the greater of the following amounts, but not more than the Limit of Insurance under this policy that applies to the building:
 - (a) The "actual cash value" of that part of the building damaged; or
 - (b) That proportion of the cost to repair or replace, after application of deductible and without deduction for depreciation, that part of the building damaged, which the total

amount of insurance in this policy on the damaged building bears to 80% of the replacement cost of the building.

(3) To determine the amount of insurance required to equal 80% of the full replacement cost of the building immediately before the "physical loss", do not include the value of:

- (a) Excavations, footings, foundations, piers or any other structures or devices that support all or part of the building, which are below the undersurface of the lowest basement floor;
- (b) Those supports in (a) above which are below the surface of the ground inside the foundation walls, if there is no basement; and
- (c) Underground flues, pipes, wiring and drains.

4. Loss to a Pair or Set

In case of "physical loss" to a pair or set "we" may elect to:

- a. Repair or replace any part to restore the pair or set to its value before the "physical loss"; or
- b. Pay the difference between the market value of the property before and after the "physical loss".

However, if "you" agree to surrender the undamaged article(s) of the pair or set to "us" and "we" agree to accept, "we" will pay "you" the full replacement cost of the entire pair or set.

5. Glass Replacement

Claims for damage to glass caused by a Covered Cause of Loss will be settled on the basis of replacement with safety glazing materials when required by ordinance or law.

6. Appraisal

If "you" and "we" fail to agree on the amount of "physical loss", either may demand an appraisal of the "physical loss". In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, "you" or "we" may request that the choice be made by a judge of a court of record in the state where the "residence premises" is located. The appraisers will separately set the amount of "physical loss". If the appraisers submit a written report of an agreement to "us", the amount agreed upon will be the amount of "physical loss". If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of "physical loss". Each party will:

- a. Pay its own appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

7. Other Insurance and Service Agreement

If a "physical loss" covered by this policy is also covered by:

- a. Other insurance, "we" will pay only the proportion of the "physical loss" that the Limit of Insurance that applies under this policy bears to the total amount of insurance covering the "physical loss"; or
- b. A "service agreement", this insurance is excess over any amounts payable under any such agreement.

8. Legal Action Against Us

No legal action can be brought against "us" unless there has been full compliance with all of the terms under Section I of this policy and the action is started within two years after the date of "physical loss".

9. Our Option

"We" may repair or replace any part of the damaged property with material or property of like kind and quality, if "we" give "you" written notice within 30 days after "we" receive "your" signed, sworn proof of "physical loss".

10. Loss Payment

"We" will adjust all losses with "you". "We" will pay "you" unless some other person is named in the policy or is legally entitled to receive payment. Claims will be payable 60 days after "we" receive "your" proof of "physical loss" and:

- a. Reach agreement with "you";
- b. There is an entry of a final judgment; or
- c. There is a filing of an appraisal award with "us".

11. Abandonment of Property

"We" need not accept any property abandoned by an "insured".

12. Mortgage Clause

- a. If a mortgagee is named in this policy, "we" will pay a "physical loss" under Section I - Coverage A or B to "you" and the mortgagee as interests appear. If more than one mortgagee is named, "we" will pay in the same order or precedence of the mortgages.
- b. If "we" deny "your" claim, that denial will not apply to a valid claim of the mortgagee, provided the mortgagee:
 - (1) Notifies "us" of any change in ownership, occupancy or substantial change in risk of which they are aware;
 - (2) Pays any premium due under this policy on demand, if "you" have neglected to pay the premium; and
 - (3) Submits a signed, sworn statement of "physical loss" within 60 days after receiving notice from "us" of "your" failure to do so. Policy conditions relating to Appraisal, Legal Action Against Us and Loss Payment apply to the mortgagee.
- c. If "we" decide to cancel or not to renew this policy, the mortgagee will be notified at least 10 days before the date cancellation or nonrenewal takes effect.
- d. If "we" pay the mortgagee for any "physical loss" and deny payment to "you":
 - (1) "We" receive all rights of the mortgagee under the mortgage on the property; or
 - (2) At "our" option, "we" may pay the mortgagee the whole principal on the mortgage plus accrued interest. In this event, "we" will receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgaged debt.
- e. Subrogation shall not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

13. No Benefit to Bailee

"We" will not recognize an assignment or grant any coverage that benefits a person or organization holding, storing or transporting property for a fee, regardless of any other provision in this policy.

14. Recovered Property

If "you" or "we" recover any property for which "we" have made payment under this policy, "you" or "we" will notify the other of the recovery. At "your" option, the property will be returned to or retained by "you" or it will become "our" property. If the recovered property is returned to or retained by "you", the payment for "physical loss" will be adjusted based on the amount "you" received for the recovered property.

15. Volcanic Eruption and Earthquake Period

- a. One or more volcanic eruptions that occur within a 72-hour period will be considered as one volcanic eruption.
- b. One or more earthquake shocks that occur within a 72-hour period shall constitute a single earthquake.

16. Concealment or Fraud

"We" provide coverage to no "insureds" under Section I of this policy if, whether before or after a "physical loss", an "insured" has:

- a. Intentionally concealed or misrepresented any material fact or circumstance;
 - b. Engaged in fraudulent conduct; or
 - c. Made false statements;
- relating to this insurance.

17. Deductible

- a. "We" will not pay for "physical loss" caused by a Covered Cause of Loss, (other than windstorm or hail) in any one incident until the amount of "physical loss" exceeds the Deductible shown in the Declarations. "We" will then pay the amount of "physical loss" in excess of the Deductible, up to the applicable Limit of Insurance, after any deduction required by Section **I, D**, Section **I** - Condition **3**, Loss Settlement.
- b. "We" will pay only that part of the "physical loss" caused by windstorm or hail that is in excess of the windstorm or hail deductible shown on the declaration. This deductible shall apply to the total "physical loss" under Coverages **A, B** and **C**. If no windstorm or hail deductible is shown on the declaration, the "all causes of loss unless otherwise noted" deductible applies.
- c. No deductible will apply to a single occurrence resulting in a covered "physical loss" of \$50,000 or greater. However this provision does not apply:

(1) To "physical loss" caused by:

- (a) Earthquake;
- (b) Landslide; or
- (c) Windstorm, hail, hurricane or "named storm" if a separate deductible applies to these perils.

A "named storm" is a storm system that has been declared a hurricane or tropical storm and assigned a name by the National Hurricane Center of the National Weather Service.

(2) When the following applies:

- (a) Covered property with deductibles of more than \$50,000; or
- (b) Any other special or specifically listed deductible.

- d. If "your" residence has been vacant for more than 30 consecutive days immediately before a covered loss, "we" will apply the greater of the deductible amount shown in the Declarations or:

- (1) 5% of the Coverage **A** Dwelling limit shown in the Declarations for a dwelling where the loss occurs; or
- (2) 5% of the Coverage **C** Personal Property limit shown in the Declarations.

This vacancy deductible applies to "your" residence, personal property and Additional Coverages.

If the limit of insurance for "your" residence is increased because of Guaranteed Replacement Cost Protection below, the deductible will be based on the increased limit.

This vacancy deductible does not apply if "we" give "our" prior written consent.

- e. If at any time during the policy period "you" are:

- (1) Newly constructing "your" residence or other structures; or
- (2) Constructing additions or making renovations to "your" residence or other structures that equal or are in excess of:
 - (a) 10% of the Coverage **A** Dwelling limit shown in the Declarations for a dwelling where the loss occurs, or \$500,000, whichever is less; or
 - (b) 10% Other Structures limit for an other structure where the loss occurs, or \$500,000, whichever is less;

"We" will apply the greater of the deductible amount shown in the Declarations or:

- 1) 5% of the Coverage **A** Dwelling limit shown in the Declarations for a dwelling where the loss occurs;
- 2) 5% of the Coverage **C** Personal Property limit shown in the Declarations where the loss occurs; or
- 3) 5% of the Coverage **B** Other Structures limit for an other structure where the loss occurs.

This construction deductible applies to "your" residence, other structures, personal property and Additional Coverages.

This construction deductible does not apply if "we" give "our" prior written consent.

- f.** If a change in occupancy of "your" residence or other structures occurs during the policy period in which "your" residence or other structures is regularly rented to others for private residential purposes, "we" will apply the greater of the deductible amount shown in the Declarations or:

- (1)** 5% of the Coverage **A** Dwelling limit shown in the Declarations for a dwelling where the loss occurs;
- (2)** 5% of the Coverage **C** Personal Property limit shown in the Declarations where the loss occurs; or
- (3)** 5% of the Coverage **B** Other Structures limit shown in the Declarations for an other structure where the loss occurs.

This change in occupancy deductible applies to "your" residence, other structures, personal property and Additional Coverages.

This change in occupancy deductible does not apply if "we" give "our" prior written consent.

- g.** "We" will apply the highest deductible if more than one deductible applies to a covered loss.

18. Loss Payable

- a.** If the Declarations show a loss payee for certain listed insured personal property, "we" will pay a "physical loss" under Coverage **C**, with respect to that property, to "you" and the loss payee as interests appear.
- b.** "We" shall, to the extent of payment, be subrogated to the loss payee's rights of recovery.
- c.** "We" will provide the same notice of cancellation or nonrenewal to the loss payee as "we" provide to "you".

19. Increased Hazard - Suspension of Coverage

Unless "we" agree in writing, "we" will not pay for a "physical loss" occurring while the hazard is increased by any means within the control or knowledge of an "insured" if the increase in hazard was material to the "physical loss".

20. Property Insurance Adjustment

The limit of liability shown on the Policy Declarations for Coverage **A** - Dwelling may be revised at each policy anniversary for inflation. Any other limits of liability that are based on a relationship to Coverage **A** will also be revised. We will not reduce the limit of liability shown on the Policy Declarations without your consent. Any adjustment in premium will be made based on premium rates in use by us at the time the change is made.

SECTION II - LIABILITY COVERAGES

A. Section II - Coverages

1. Coverage E - Personal Liability

INSURING AGREEMENT

- a.** "We" will pay those sums the "insured" becomes legally obligated to pay as damages because of "bodily injury", "personal injury" or "property damage" to which this insurance applies. Damages include prejudgment interest awarded against the "insured" on that part of any judgment "we" become obligated to pay and which falls within the applicable Limit of Insurance shown in the Declarations. "We" will have the right and duty to defend the "insured" against any "suit" seeking those damages. However, "we" will have no duty to defend the "insured" against any "suit" seeking damages for "bodily injury", "personal injury" or "property damage" to which this insurance does not apply, even if the suit is groundless, false and fraudulent. "We" may, at "our" discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1)** The amount "we" will pay for damages is limited as described in Section **II, D. Section II - Conditions, Condition 1, Limit of Insurance**; and
- (2)** "Our" right and duty to defend ends when "we" have exhausted the applicable Limit of Insurance in the payment of judgments or settlements under Section **II - Coverage E**.

No other obligation or liability to pay sums or perform acts or services is covered unless expressly provided for under Section **II, C. Section II - Additional Coverages**.

- b. This insurance applies to "bodily injury", "personal injury" or "property damage" only if:
 - (1) The "bodily injury", "personal injury" or "property damage" is caused by an "occurrence"; and
 - (2) The "bodily injury" or "property damage" occurs during the "coverage term"; or
 - (3) The "personal injury" results from an "occurrence" that takes place during the "coverage term".
- c. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

2. Coverage F - Medical Payments to Others

INSURING AGREEMENT

- a. "We" will pay the greater of \$25,000 or the limit as shown on the Declarations Page for necessary and reasonable medical expenses as described below for "bodily injury" caused by an accident that happens to:
 - (1) A person on the "insured location" with the permission of an "insured"; or
 - (2) A person away from the "insured location", if the "bodily injury":
 - (a) Arises out of a condition of the "insured location" or the ways immediately adjoining;
 - (b) Arises out of the activities of an "insured";
 - (c) Arises out of the actions of a "residence employee" in the course of the "residence employee's" employment by an "insured"; or
 - (d) Arises out of the actions of an animal owned by or in the care of an "insured";
 provided:
 - 1) The accident takes place during the "coverage term";
 - 2) The expenses are incurred and reported to "us" within three years of the date of the accident; and
 - 3) The injured person submits to examination, at "our" expense, by physicians of "our" choice as often as "we" may reasonably require.
- b. "We" will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance as described in Section II, D. Section II - Conditions, Condition 1. Limit of Insurance. "We" will pay reasonable expenses for:
 - (1) First aid administered at the time of an accident;
 - (2) Necessary medical, surgical, x-ray and dental services, including prosthetic devices; and
 - (3) Necessary ambulance, hospital, professional nursing and funeral services.
- c. This coverage does not apply to "you" or "your" "resident relatives".

B. Section II - Exclusions

1. Applicable to Coverage E - Personal Liability

The following exclusions apply to Coverage E - Personal Liability:

This insurance does not apply to:

a. Expected or Intended Injury

"Bodily injury" or "property damage" which may reasonably be expected to result from the intentional or criminal acts of one or more "insureds" or which is in fact expected or intended by one or more "insureds", even if the injury or damage is:

- (1) Of a different degree or type than actually expected or intended; or
- (2) Sustained by a different person, entity, real or personal property, than initially expected or intended.

However, this Exclusion 1.a. does not apply to "bodily injury" resulting from the use of reasonable force by an "insured" to protect persons or property.

b. Business Pursuits

"Bodily injury", "personal injury" or "property damage" arising out of or in connection with a "business" conducted from an "insured location" or engaged in by an "insured", whether or not the "business" is owned or operated by an "insured" or employs an "insured". This Exclusion **1.b.** applies to, but is not limited to, an act, error or omission, regardless of its nature or circumstance, involving a service or duty rendered, promised, owed, or implied to be provided because of the nature of the "business".

This Exclusion **1.b.** does not apply to:

- (1) The rental or holding for rental of an "insured location":
 - (a) On an occasional basis if used only as a residence;
 - (b) In part for use only as a residence, unless a single family unit is intended for use by the occupying family to lodge more than two roomers or boarders; or
 - (c) In part, as an office, school, studio or private garage;
- (2) An "insured" under the age of 21 years involved in a part-time or occasional self-employed "business" with no "employees"; or
- (3) Activities which are usual to nonbusiness pursuits.

c. Professional Services

"Bodily injury", "personal injury" or "property damage" arising out of the rendering or failing to render professional services.

d. Noninsured Locations

"Bodily injury", "personal injury" or "property damage" arising out of a premises:

- (1) Owned by an "insured";
 - (2) Rented to an "insured"; or
 - (3) Rented to others by an "insured";
- that is not an "insured location".

e. Motor Vehicles

"Bodily injury", "personal injury" or "property damage" arising out of:

- (1) The ownership, maintenance, occupancy, operation, use, loading or unloading of "motor vehicles" owned or operated by or rented or loaned to an "insured";
- (2) The entrustment of a "motor vehicle" by an "insured" to any person;
- (3) The failure to supervise or negligent supervision of any person by an "insured" involving the ownership, maintenance, occupancy, operation, use, loading or unloading of a "motor vehicle"; or
- (4) Vicarious liability, whether or not statutorily imposed, for the actions of any person or organization using a "motor vehicle".

This exclusion does not apply to the following described "motor vehicles", provided they are not being:

- (a) Operated in, or practicing for, any prearranged or organized race, speed contest or other competition;
- (b) Rented to others by an "insured";
- (c) Used to carry persons or cargo for a charge; or
- (d) Used for any "business" purpose except for a motorized golf cart while on a golfing facility.

Described "motor vehicles":

- 1) A trailer not towed by or carried on a "motor vehicle";
- 2) A "motor vehicle" designed for recreational use off public roads which is not subject to motor vehicle registration and:

- a) Not owned by an "insured"; or
- b) Owned by an "insured" provided the "occurrence" takes place:
 - (i) On an "insured location" as described in Definition **22.a., b., d., e., or h.**;
 - (ii) Off an "insured location" and the "motor vehicle" is:
 - i) Designed as a toy vehicle for use by children under seven years of age;
 - ii) Powered by one or more batteries; and
 - iii) Not built or modified after manufacture to exceed a speed of five miles per hour on level ground; or
 - (iii) Off an "insured location" and the "motor vehicle":
 - i) Is a motorized bicycle, motorized scooter, or moped; and
 - ii) Was not built or modified after manufacture to exceed a speed of 15 miles per hour on level ground.
- 3) A motorized golf cart; or
- 4) A "motor vehicle" not subject to motor vehicle registration which is:
 - a) Used solely to service a residence;
 - b) Designed for assisting the handicapped and, at the time of an "occurrence" it is:
 - (i) Being used to assist a handicapped person; or
 - (ii) Parked on an "insured location"; or
 - c) In dead storage on an "insured location".

With respect to a "motor vehicle" not excluded under **1.e.**, Definition **21.**, "Insured", is extended to include any person or organization legally responsible for the covered "motor vehicle" owned by an "insured". Definition **21.**, however, does not include a person or organization using or having custody or possession of the "motor vehicle" without the permission of the owner.

f. Watercraft

"Bodily injury", "personal injury" or "property damage" arising out of:

- (1) The ownership, maintenance, occupancy, operation, use, loading or unloading of an "excluded watercraft";
- (2) The entrustment of an "excluded watercraft" by an "insured" to any person;
- (3) The failure to supervise or negligent supervision of any person by an "insured" involving the ownership, maintenance, occupancy, operation, use, loading or unloading of an "excluded watercraft"; or
- (4) Vicarious liability, whether or not statutorily imposed, for the actions of any person or organization using an "excluded watercraft".

This exclusion does not apply to watercraft described in Paragraphs **a.** and **b.** of definition **11.**, "excluded watercraft":

- (a) If an "insured" acquires ownership of the watercraft during the "coverage term" and declares in writing their intent to insure that watercraft with "us", and such notice is delivered to "our" agent or "us" within 45 days of the acquisition of that watercraft. Should "we" decline to insure that watercraft after receiving the aforementioned notice, any coverage under this policy for that watercraft will cease at the earlier of:
 - 1) 30 days after "our" declination;
 - 2) The securing of insurance coverage for the watercraft elsewhere; or
 - 3) The expiration of this policy;
- (b) If the watercraft is owned by an "insured" at the inception of this policy and specified in the Declarations;

- (c) To "bodily injury", "personal injury" or "property damage" arising out of the occasional, infrequent use of watercraft not owned by an "insured"; or
- (d) While the watercraft is stored.

g. Aircraft

"Bodily injury", "personal injury" or "property damage" arising out of:

- (1) The ownership, maintenance, occupancy, operation, use, loading or unloading of an "aircraft";
- (2) The entrustment of an "aircraft" by an "insured" to any person;
- (3) The failure to supervise or negligent supervision by an "insured" of any person involving the ownership, maintenance, occupancy, operation, use, loading or unloading of an "aircraft"; or
- (4) Vicarious liability, whether or not statutorily imposed, for the actions of any person or organization using an "aircraft".

h. Hovercraft

"Bodily injury", "personal injury" or "property damage" arising out of:

- (1) The ownership, maintenance, occupancy, operation, use, loading or unloading of a "hovercraft";
- (2) The entrustment of a "hovercraft" by an "insured" to any person;
- (3) The failure to supervise or negligent supervision of any person by an "insured" involving the ownership, maintenance, occupancy, operation, use, loading or unloading of a "hovercraft"; or
- (4) Vicarious liability, whether or not statutorily imposed, for the actions of any person or organization using a "hovercraft".

i. Injury to a Fellow Employee

"Bodily injury", "personal injury" or "property damage" to:

- (1) A fellow employee of an "insured" occurring in the course of employment;
- (2) A fellow employee of an "insured" sustained in the "workplace"; or
- (3) The spouse, child, parent, brother or sister of that fellow employee as a consequence of Paragraphs (1) or (2) above.

This exclusion applies regardless of the capacity an "insured" is deemed to hold and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

j. War

"Bodily injury", "personal injury" or "property damage" caused directly or indirectly by war, including undeclared war, civil war, insurrection, rebellion, revolution, warlike act by a military force or military personnel, destruction or seizure or use for a military purpose and including any consequence of any of these. Discharge of a nuclear weapon will be deemed a warlike act even if accidental.

k. Communicable Disease

"Bodily injury", "personal injury" or "property damage" arising out of the actual, alleged or threatened transmission of a communicable disease by an "insured".

l. Molestation, Corporal Punishment, Harassment or Abuse

"Bodily injury", "personal injury" or "property damage" liability, or a claim for negligent supervision or negligent entrustment, based upon, arising out of, directly or indirectly resulting from or in consequence of, or in any way involving any actual, alleged or threatened:

- (1) Molestation;
- (2) Corporal punishment (other than administered by teachers);
- (3) Abuse; or

(4) Harassment.

m. Controlled Substances

"Bodily injury", "personal injury" or "property damage" arising out of the use, sale, manufacture, delivery, transfer or possession by any person of a Controlled Substance(s) as defined by the Federal Food and Drug Law at 21 U.S.C.A. Sections 811 and 812. Controlled Substances include but are not limited to cocaine, LSD, marijuana and all narcotic drugs. However, this exclusion does not apply to the legitimate use of prescription drugs by a person following the lawful orders of a licensed health care provider.

n. Fuel System

"Bodily injury", "personal injury" or "property damage" arising out of the actual, alleged, or threatened discharge, seepage, emission, migration, release or escape of fuel from a "fuel system".

o. Assessments and Contracts

Liability:

- (1)** For "your" share of any assessment charged against all members of an association, corporation or community of property owners, except as provided in Section **II, C. Additional Coverages, 4. Assessments**; or
- (2)** Under any contract or agreement entered into by an "insured". However, this Exclusion, **o.(2)**, does not apply to written contracts:
 - (a)** That directly relate to the ownership, maintenance or use of an "insured location"; or
 - (b)** Where the liability of others is assumed by "you" prior to an "occurrence";unless excluded in **o.(1)** above or elsewhere in this policy.

p. Insured's Property

"Property damage" to property owned by "you" or an "insured" described in Paragraphs **a.** or **b.** of Definition **21. "Insured"**. This includes costs or expenses incurred by an "insured" or others to repair, replace, enhance, restore or maintain such property to prevent injury to a person or damage to property of others, whether on or away from an "insured location";

q. Property Rented to an Insured

"Property damage" to property rented to, occupied or used by or in the care of an "insured". This includes costs or expenses incurred by an "insured" or others to repair, replace, enhance, restore or maintain such property to prevent injury to a person or damage to property of others, whether on or away from an "insured location". This exclusion does not apply to "property damage" caused by water, fire, smoke, or explosion.

r. Workers' Compensation

"Bodily injury" or "personal injury" to any person eligible to receive any benefits voluntarily provided or required to be provided by an "insured" under any:

- (1)** Workers' compensation law;
- (2)** Nonoccupational disability law;
- (3)** Occupational disease law;
- (4)** Unemployment compensation;
- (5)** Jones Act or General Maritime Law; or
- (6)** Similar laws.

s. Violation of Another's Rights, Political Activity, Known Falsity, Prior Publication, Contractual Liability, Criminal Acts, Employment Related Injuries and Advertising, Broadcasting or Telecasting

"Personal injury":

- (1)** Caused by or at the direction of an "insured" with the knowledge that the act would violate the rights of another and would inflict "personal injury";

- (2) Committed by or at the direction of an "insured" in the course of any political or "business" activity;
- (3) Sustained by any person as a result of an offense directly or indirectly related to the employment of such person by an "insured"; or
- (4) Arising out of:
 - (a) Oral or written publication, in any manner, of material whose first publication took place before the beginning of the "coverage term";
 - (b) Liability assumed by an "insured" under any contract or agreement except any indemnity obligation assumed by an "insured" under a written contract directly relating to the ownership, maintenance or use of an "insured location";
 - (c) A criminal act committed by or at the direction of an "insured";
 - (d) Oral or written publication, in any manner, of material, if done by or at the direction of an "insured" with knowledge of its falsity; or
 - (e) Advertising, broadcasting or telecasting by or for an "insured".

t. Nuclear

"Bodily injury", "personal injury" or "property damage" arising from a "nuclear hazard".

u. Injury to an Insured

"Bodily injury" or "personal injury" to "you" or an "insured" described in Paragraphs **a.** or **b.** of Definition **21.** "Insured".

This exclusion also applies to any claim or "suit" brought against "you" or an "insured":

- (1) To repay; or
- (2) Share damages with;

Another person or organization who may be obligated to pay damages because of "bodily injury" or "personal injury" to an "insured".

v. Discrimination

"Bodily injury", "personal injury" or "property damage" arising out of discrimination (including but not limited to racial discrimination, sexual discrimination, religious discrimination or age discrimination), including fines or penalties imposed by law.

w. Lead

- (1) "Bodily injury", "personal injury" or "property damage" arising out of, resulting from, or in any way caused by or contributing to the actual, alleged or threatened ingestion, inhalation, absorption of, exposure to or presence of lead in any form emanating from any source; or
- (2) Any liability, cost or expense arising out of, resulting from or in any way related to any:
 - (a) Claim, suit, request, demand, directive, or order by or on behalf of any person, entity, or governmental authority that an "insured", or others test for, monitor, clean up, remove, contain, treat, detoxify, neutralize, or in any way respond to, or assess the effects of lead in any form; or
 - (b) Claim or suit, by or on behalf of any person, entity, or governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating or detoxifying or neutralizing, or in any way responding to, or assessing the effects of lead in any form.

"We" shall not be obligated to investigate, defend, or indemnify an "insured", or any person or entity claiming any right under the policy for the matters excluded in **w.** above.

x. Directors and Officers Liability

"We" do not cover any "bodily injury", "property damage" or "personal injury" arising out of an act, error or omission of an insured person as an officer or member of a board of directors of a corporation or organization.

This exclusion does not apply if the corporation or organization is not-for-profit and the insured receives no compensation other than reimbursement of expenses.

y. Civic Activities

"We" do not cover any damages arising out of civic or public activities performed by an insured person. However, "we" do cover "you" or a family member if during the policy period:

- (1) The annual compensation of the civic or public activity does not exceed \$20,000; and
- (2) The hours required to perform the civic or public activity do not exceed an annual average of 20 hours of work per week.

z. Employment-Related Benefits or Unpaid Wages

"We" do not cover any damages or benefits an insured is legally required to provide or voluntarily provides for any:

- (1) Retirement benefits;
- (2) Stock options;
- (3) Perquisites;
- (4) Deferred compensation or any other type of similar compensation;
- (5) Improper payroll deductions;
- (6) Unpaid wages; or
- (7) Overtime pay for hours actually worked or labor actually performed.

aa. Wrongful Employment Act

Damages arising out of a wrongful employment act.

bb. Residence Employee

"We" do not cover any damages for:

"Personal injury" sustained by any person arising out of any employment or personnel related practices, policies, acts or omissions, including but not limited to:

- (1) Refusal to employ or termination of employment;
- (2) Coercion, criticism, demotion, failure to promote, evaluation, reassignment, discipline, defamation, self-defamation, harassment, humiliation, discrimination, libel, slander, false arrest or imprisonment, and violation of a person's right of privacy; or
- (3) Any consequential injury or damages as a result of (1) or (2) above.

This exclusion **bb.** applies:

- (1) To all claims, demands, charges, complaints or suits by any person or organization for damages, including damages for care and loss of services;
- (2) Whether an "insured" may be held liable as an employer or in any other capacity either directly or indirectly related to employment; and
- (3) To repay or share damages with another person who may be obligated to pay damages because of such injury or liability.

Exclusions **d., e., f., g.** and **h.** do not apply to "bodily injury" or "personal injury" to a "residence employee" arising out of and in the course of the "residence employee's" employment by an "insured".

2. Applicable to Coverage F - Medical Payments to Others

The following exclusions apply to Coverage **F** - Medical Payments to Others:

This insurance does not apply to "bodily injury":

a. Excluded Under Coverage E

Excluded under Section **II** - Coverage **E**.

b. Residence Employee

To a "residence employee" if it occurs off the "insured location" and does not arise out of or in the course of the "residence employee's" employment by an "insured".

c. Workers' Compensation

To any person, eligible to receive any benefits required to be provided or voluntarily provided under any workers' compensation, nonoccupational disability or occupational disease law.

d. Nuclear Hazard

From a "nuclear hazard".

e. Residents

To any person other than a "residence employee" of an "insured", regularly residing on any part of the "insured location".

C. Section II - Additional Coverages

"We" cover the following in addition to the Limits of Insurance:

1. Defense Expenses

"We" pay:

- a.** Expenses incurred by "us" and costs taxed against an "insured" in any "suit" "we" defend;
- b.** Premiums on bonds required in a "suit" defended by "us", but not for bond amounts greater than the Limit of Insurance for Section II - Coverage E. "We" are not obligated to apply for or furnish any bond;
- c.** Reasonable expenses incurred by an "insured" at "our" request, including actual loss of earnings (but not loss of other income) up to \$1,000 per day for assisting "us" in the investigation or defense of any claim or "suit"; and
- d.** All interest awarded against the "insured" on that part of any judgment:
 - (1) That is within the applicable Limit of Insurance that "we" become obligated to pay; and
 - (2) That accrues after entry of the judgment and before "we" have paid, offered to pay or deposited in court the part of the judgment which "we" are obligated to pay.

2. First Aid Expenses

"We" will pay expenses for first aid to others incurred by an "insured" for "bodily injury" covered under this policy. "We" will not pay for first aid to an "insured".

3. Damage to Property of Others

- a.** "We" will pay, at replacement cost, up to \$15,000 per "occurrence" for "property damage" to property of others caused by an "insured".
- b.** "We" will not pay for "property damage":
 - (1) To property covered under Section I of this policy;
 - (2) To real property rented to an "insured";
 - (3) To property owned by an "insured", a tenant of an "insured", or a resident in "your" household;
 - (4) To a recreational vehicle such as a snowmobile, golf cart, camper, motor home or similar vehicle, or farm machinery or equipment, rented, leased or borrowed by an "insured"; or
 - (5) Arising out of:
 - (a) A "business" engaged in by an "insured";
 - (b) Any act or omission in connection with a premises owned, rented or controlled by an "insured", other than the "insured location"; or
 - (c) The ownership, maintenance, occupancy, operation, use, loading or unloading of "aircraft", "hovercraft", watercraft or "motor vehicles".

This Exclusion **3.b.(5)(c)** does not apply to a "motor vehicle" that:

- 1) Is designed for recreational use off public roads;
 - 2) Is not owned by an "insured"; and
 - 3) At the time and place of an "occurrence", is not required by law, or regulation issued by a government agency, to have been registered for it to be used on public roads or property; or
- (6) Caused intentionally by an "insured" who is 13 years of age or older.

4. Assessments

- a. "We" will pay up to \$100,000 for "your" share of any assessment charged during the "coverage term" against "you" by a corporation or association of property owners, when the assessment is made as a result of:
 - (1) "Bodily injury" or "property damage" which occurs during the "coverage term" and which is not excluded under Section II of this policy;
 - (2) "Personal injury" that results from an "occurrence" that takes place during the "coverage term" and which is not excluded under Section II of this policy; or
 - (3) Liability for an act taken during the "coverage term" of a director, officer or trustee in the capacity as a director, officer or trustee, provided:
 - (a) The director, officer or trustee is elected by the members of a corporation or association of property owners; and
 - (b) The director, officer or trustee serves without deriving any income from the exercise of duties which are solely on behalf of a corporation or association of property owners.
- b. This coverage applies only to assessments charged against "you" as owner or tenant of the "residence premises".
- c. Irrespective of Paragraph 4.a. above, "we" will pay no more than \$10,000 for an assessment that results from a deductible in the insurance purchased by the corporation or association of property owners to which "you" belong.
- d. "We" do not cover assessments charged against "you" or a corporation or association of property owners by any governmental body.
- e. Regardless of the number of assessments, the limit of \$100,000 is the most "we" will pay for damages arising out of:
 - (1) One "occurrence"; or
 - (2) A covered act of a director, officer or trustee. An act involving more than one director, officer or trustee is considered to be a single act.

D. Section II - Conditions

1. Limit of Insurance

a. Coverage E - Personal Liability

- (1) "Our" total liability under Coverage E, for all "bodily injury" or "property damage", from any one "occurrence" shall not exceed the Limit of Insurance for Coverage E Personal Liability, Bodily Injury and Property Damage - Each Occurrence, as shown in the Declarations. This is the most "we" will pay regardless of the number of:
 - (a) "Insureds";
 - (b) Offenses;
 - (c) Claims made;
 - (d) Persons injured; or
 - (e) Suits brought.
- (2) "Our" total liability in an annual policy period under Coverage E, for all "personal injury" damages resulting from all offenses during the policy period shall not exceed the Limit of Insurance for Coverage E Personal Liability, Personal Injury - Aggregate, as shown in the Declarations. This is the most "we" will pay regardless of the number of:
 - (a) "Insureds";

- (b) Offenses;
 - (c) Claims made;
 - (d) Persons injured; or
 - (e) Suits brought.
- (3) "Our" total liability under Coverage **E** for the total of all damages arising directly or indirectly, in whole or in part, out of the actual, alleged or threatened:

- (a) Inhalation of;
- (b) Ingestion of;
- (c) Contact with;
- (d) Absorption of;
- (e) Exposure to;
- (f) Existence of; or
- (g) Presence of,

any "fungi", wet or dry rot, or bacteria on or within a building or structure, including its contents, whether occurring suddenly or gradually, will not be more than the Section **II** Coverage **E** Aggregate Sublimit of Insurance for Fungi, Wet or Dry Rot, or Bacteria stated for Section **II** - Fungi, Wet or Dry Rot, or Bacteria Declarations Page. This is the most "we" will pay for all "occurrences" at each "location" in any "coverage term", regardless of the:

- 1) Number of persons injured;
- 2) Number of persons whose property is damaged;
- 3) Number of "insureds"; or
- 4) Number of "occurrences" or claims made.

This sublimit is within, but does not increase, the Section **II** - Coverage **E** Limit of Insurance. However, this sublimit is not applicable to liability arising solely out of any "fungi" or bacteria that are, are on, or are contained in, a good or product intended for human ingestion.

b. Coverage F - Medical Payments to Others

"Our" total liability under Coverage **F** for all medical expenses payable for "bodily injury" to one person as the result of one accident shall not exceed the Limit of Insurance for Coverage **F** - Medical Payments to Others as shown in the Declarations.

2. Separation of Insureds

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this policy to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each "insured" against whom a claim is made or "suit" is brought.

3. Duties in the Event of Occurrence, Claim or Suit

In case of an "occurrence", claim or "suit" "you" and any other involved "insured" will perform the following duties. "We" have no duty to provide coverage under this policy if "your" or any other "insured's" failure to comply with the following duties is prejudicial to "us". "You" and any other involved "insured" shall cooperate with "us" in seeing that these duties are performed:

- a. "You" and any other involved "insured" must see to it that "we" are notified as soon as practicable of an "occurrence" which may result in a claim or "suit". To the extent possible, notice should include:
 - (1) How, when and where the "occurrence" took place;
 - (2) The names and addresses of any injured persons and witnesses; and
 - (3) The nature and location of any injury or damage arising out of the "occurrence".

- b. If a claim is made or "suit" is brought against an "insured", "you" and any other involved "insured" must:
 - (1) Immediately record the specifics of the claim or "suit" and the date received; and
 - (2) Notify "us" as soon as practicable.
- c. "You" and any other involved "insured" must:
 - (1) Immediately send "us" copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
 - (2) Authorize "us" to obtain records and other information;
 - (3) Cooperate with "us" in the investigation, settlement or defense of the claim or "suit";
 - (4) Assist "us", upon "our" request, in the enforcement of any right against any person or organization which may be liable to the "insured" because of injury or damage to which this insurance may also apply;
 - (5) If requested by "us", submit to examination under oath, while not in the presence of any other "insured", and sign the same; and
 - (6) Under the Additional Coverage - **3. Damage to Property of Others** - submit to "us" within 60 days after the claim, a sworn statement of damages and exhibit the damaged property, if within the "insured's" control.
- d. No "insured" will, except at that "insured's" own cost, voluntarily make any payment, assume any obligation or incur any expense, other than for first aid to others at the time of the "bodily injury", without "our" consent.
- e. Notification of an "occurrence", claim or "suit" is to be directed to:
 - (1) The agency listed in the Declarations; or
 - (2) The Cincinnati Insurance Companies, P.O. Box 145496, Cincinnati, Ohio 45250-5496, Phone number (513) 870-2000.

4. Duties of an Injured Person - Coverage F - Medical Payments to Others

The injured person or someone acting on behalf of the injured person shall:

- a. Give "us" written proof of claim, under oath if required, as soon as practicable; and
- b. Execute authorization to allow "us" to obtain copies of medical reports and records.

5. Payment of Claim - Coverage F - Medical Payments to Others

Payment under this coverage is not an admission of liability by an "insured" or "us".

6. Legal Action Against Us

- a. No legal action can be brought against "us" unless there has been full compliance with all of the terms under Section **II** of this policy.
- b. No one shall have any right to join "us" as a party to any legal action against an "insured". Further, no legal action with respect to Section **II** - Coverage **E** shall be brought against "us" until the obligation of such "insured" has been determined by final judgment or agreement signed by "us".

7. Bankruptcy of an Insured

Bankruptcy or insolvency of an "insured" shall not relieve "us" of any of "our" obligations under this policy.

8. Other Insurance - Coverage E - Personal Liability

This insurance is excess over any other valid and collectible insurance except insurance written specifically to cover as excess over the Limits of Insurance that apply in this policy.

9. Concealment or Fraud

"We" do not provide coverage to an "insured" who, whether before or after an "occurrence", has:

- a. Intentionally concealed or misrepresented any material fact or circumstance;
- b. Engaged in fraudulent conduct; or

- c. Made false statements;
relating to this insurance.

SECTION III - COMMON CONDITIONS

The following Conditions apply to both Section I and Section II of this policy.

1. Liberalization Clause

- a. If "we" make a change which broadens coverage under this edition of "our" policy without additional premium charge, that change will automatically apply to "your" insurance as of the date "we" implement the change in "your" state, provided that this implementation date falls within 60 days prior to or during the Policy Period stated in the Declarations.
- b. This Liberalization Clause does not apply to changes implemented with a general program revision that includes both broadenings and restrictions in coverage, whether that general program revision is implemented through introduction of:
 - (1) A subsequent edition of this policy; or
 - (2) An amendatory endorsement.

2. Cancellation

- a. The first Named Insured shown in the Declarations may cancel this policy at any time by returning it to "us" or by notifying "us" in writing of the date cancellation is to take effect.
- b. "We" may cancel this policy only for the reasons stated in this condition by notifying the first Named Insured shown in the Declarations in writing of the date cancellation takes effect. This cancellation notice may be delivered to the first Named Insured shown in the Declarations, or mailed to the first Named Insured shown in the Declarations at their mailing address shown in the Declarations.

Proof of mailing shall be sufficient proof of notice.

- (1) When the premium has not been paid, whether payable to "us" or to "our" agent or under any finance or credit plan, "we" may cancel at any time by notifying the first Named Insured shown in the Declarations at least 10 days before the date cancellation takes effect.
- (2) When this policy has been in effect for less than 60 days and is not a renewal with "us", "we" may cancel for any reason by notifying the first Named Insured shown in the Declarations at least 10 days before the date cancellation takes effect.
- (3) When this policy has been in effect for 60 days or more, or at any time if it is a renewal with "us", "we" may cancel if there has been a material misrepresentation of fact which if known to "us" would have caused "us" not to issue the policy or if the risk has changed substantially since the policy was issued. Cancellation can be accomplished by notifying the first Named Insured shown in the Declarations at least 30 days before the date cancellation takes effect.
- (4) When this policy is written for a period longer than one year, "we" may cancel for any reason at anniversary by notifying the first Named Insured shown in the Declarations at least 30 days before the anniversary date.
- c. When this policy is cancelled, the premium for the period from the date of cancellation to the expiration date will be refunded pro rata.
- d. If the return premium is not refunded with the notice of cancellation or when this policy is returned to "us", "we" will refund it to the first Named Insured shown in the Declarations within a reasonable time after the date cancellation takes effect.

3. Nonrenewal

"We" may elect not to renew this policy. "We" may do so by delivery to the first Named Insured shown in the Declarations, or mailing to the first Named Insured shown in the Declarations at their mailing address shown in the Declarations, written notice at least 30 days before the expiration date of this policy. Proof of mailing shall be sufficient proof of notice.

4. Assignment

Assignment of this policy shall not be valid unless "we" give "our" written consent.

5. Subrogation

- a. An "insured" may waive in writing before a "physical loss" or an "occurrence" all rights of recovery against any person. If not waived, "we" may require an assignment of rights of recovery for a "physical loss" to the extent that payment is made by "us".
- b. If an assignment is sought, the "insured" shall sign and deliver all related papers and cooperate with "us" in a reasonable manner, and shall do nothing to prejudice "our" subrogation rights.
- c. Subrogation does not apply under Section II to Coverage F - Medical Payments to Others or Section II - Additional Coverage 3. Damage to Property of Others.

6. Death

If "you" die:

- a. "We" insure the legal representative of the deceased but only with respect to the premises and property of the deceased covered under this policy at the time of death;
- b. "Insured" includes:
 - (1) Any member of "your" household who is an "insured" at the time of "your" death, but only while a resident of the "residence premises"; and
 - (2) With respect to "your" property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

7. Insured's Representative Clause

By acceptance of this policy "you" and any other "insured" agree that the first Named Insured listed in the Declarations will act on both "your" and their behalf with respect to:

- a. The acceptance of endorsements or other policy modifications; and
- b. The giving or receiving of any other notice provided for in this policy.

Further, by acceptance of this policy, "you" and any other "insured" agree to accept and be bound by any actions taken by the first Named Insured with regard to **a.** or **b.** above.

8. Premiums

The first Named Insured shown in the Declarations:

- a. Is responsible for the payment of all premiums; and
- b. Will be the payee for any return premiums "we" pay.

9. Changes

This policy contains all the agreements between "you" and "us" concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with "our" consent. This policy's terms can be amended or waived only by endorsement issued by "us" and made a part of this policy.

"Our" request for an appraisal or examination shall not waive any of "our" rights.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS ENDORSEMENT - NEW MEXICO

This endorsement modifies insurance provided under the following:

**EXECUTIVE CAPSTONE™
EXECUTIVE
CAPSTONE CONDO CO-OP
CUO(S)
CAPSTONE TENANT
TENANT(S)**

DEFINITIONS

The following definition is added in all Forms:

"Wildfire" means:

Any wild fire, wildland fire, forest fire, brush fire, vegetation fire, grass fire, peat fire, bushfire, hill fire, desert fire, veldfire, escaped prescribed fires, escaped wildland fire or any other uncontrolled or unplanned fire, which may (but not required to) also consume houses, buildings or other structures and agricultural resources. Wildfire includes all risk associated with or resulting from such fire(s), such as smoke, heat, soot or fumes.

The following definitions are added in Forms **EXECUTIVE** and **EXECUTIVE CAPSTONE™**:

"Roof Surfacing" means any type of material composing the exterior of the roof.

"Roof System" means any type of roof surface, underlayment, decking, sheathing, vents, flashing or trim.

The following definitions are added in all Forms:

"Agents" mean any person, entity, organization or collection of persons, entities or organizations that have at any time been associated with or designated as having worked with or acted on behalf of any state, government, or sovereign.

The attribution of the actors' status as "agents" will be determined by relying on reasonable evidence such as, but not limited to:

- a.** Statements by an agency or department of the United States government;
- b.** Statements by an international group of which the United States is a member, such as the United Nations or the North Atlantic Treaty Organization, or any member of such an international group; or
- c.** Statements by a "recognized commercial authority".

"Computer system" means any computer or network of computers or computer systems, hardware, software, communications system, electronic device (including but not limited to, smart phone, laptop, tablet, wearable device), server, cloud infrastructure or microcontroller including any configuration of the aforementioned and including any associated input, output, code, program, data, data storage device, networking equipment or back up facility.

"Cyber hostilities" means the use of a "computer system" that causes disruption or harm.

"Recognized commercial authority" means a business that provides information technology security or forensics services, including, but not limited to:

- a.** Symantec;
- b.** Mandiant;
- c.** Microsoft;
- d.** Apple;
- e.** Cisco; or
- f.** IBM.

"War" or "warlike action":

- a. Means physical combat, a state of armed conflict, or "cyber hostilities" engaged in by:
 - (1) Any state, government, or sovereign; or
 - (2) "Agents" of a state, government, or sovereign, against any other:
 - (1) State, government, or sovereign; or
 - (2) Person or entity targeted by or responding to such physical combat, armed conflict, or "cyber hostilities"; and
- b. Includes any collateral loss, damage, cost, expense or liability for damages of any nature arising out of the physical combat, armed conflict, or "cyber hostilities" or any response to such physical combat, armed conflict, or "cyber hostilities".

The following definition is deleted and replaced by:

"Nuclear hazard", meaning any nuclear reaction, nuclear radiation, discharge of a nuclear weapon, or radioactive contamination, whether intentional or accidental, however caused, or any consequence of any of these. Loss caused by the nuclear hazard will not be considered loss caused by fire, explosion or smoke, whether those causes of loss are specifically named in or otherwise included within the covered causes of loss.

SECTION I - PROPERTY COVERAGES

A. Section I - Coverages

4. Coverage D - Loss of Use

Under the **Executive, Executive Capstone™, Capstone Condo and Capstone Tenant**:

Coverage D - Loss of Use

Coverage **D** - Loss of Use benefits are limited to the total of all of the following:

a. Additional Living Expense

If a covered "physical loss" under Section **I** makes the "residence premises" uninhabitable, "we" pay up to the limit shown on the Declarations for necessary increases in living expenses incurred so that "your" household can maintain its normal standard of living. Payment shall be for the shortest time period required to repair or replace the premises or, if "you" choose, permanently relocate "your" household.

b. Fair Rental Value

If a covered "physical loss" under Section **I** makes that part of the "residence premises" rented to others or held for rental by "you" uninhabitable, "we" will pay "you" up to the limit shown on the Declarations, its fair rental value for the shortest time period required to repair or replace that part of the premises. Fair rental value will not include any expense that does not continue while that part of the "residence premises" is uninhabitable.

c. Prohibited Use

If a civil authority prohibits use of "your" "residence premises", as a result of direct "physical loss" or a reasonable threat of a "physical loss" by a Covered Cause of Loss in this policy, "we" will pay "you" up to the limit shown on the Declarations for any Additional Living Expense and Fair Rental Value loss of income for a period of time not exceeding 30 days.

The periods of time referred to above are not limited by expiration of this policy.

"We" do not cover loss of income or expense due to cancellation of a lease or agreement.

Under the **CUO(S) and Tenant(S)**

Coverage D - Loss of Use

Coverage **D** - Loss of Use benefits are limited to the total of all of the following:

a. Additional Living Expense

If a covered “physical loss” under Section I makes the “residence premises” uninhabitable, “we” pay up to the limit shown on the Declarations for necessary increases in living expenses incurred so that “your” household can maintain its normal standard of living. Payment shall be for the shortest time period required to repair or replace the premises or, if “you” choose, permanently relocate “your” household.

b. Fair Rental Value

If a covered “physical loss” under Section I makes that part of the “residence premises” rented to others or held for rental by “you” uninhabitable, “we” will pay “you” up to the limit shown on the Declarations, its fair rental value for the shortest time period required to repair or replace that part of the premises. Fair rental value will not include any expense that does not continue while that part of the “residence premises” is uninhabitable.

c. Prohibited Use

If a civil authority prohibits use of “your” “residence premises”, as a result of direct “physical loss” or a reasonable threat of a “physical loss” by a Covered Cause of Loss in this policy, “we” will pay “you” up to the limit shown on the Declarations for any Additional Living Expense and Fair Rental Value loss of income for a period of time not exceeding 30 days.

The periods of time referred to above are not limited by expiration of this policy.

“We” do not cover loss of income or expense due to cancellation of a lease or agreement.

5. Section I – Additional Coverages

b. Trees, Shrubs and Other Plants

Under Additional Coverages, **A. 5. B.**, item **(1) (a)** is deleted and replaced by the following:

a. Fire or lightning;

Coverage is excluded for loss to outdoor trees, shrubs, plants, lawns and any other landscaping if caused by “wildfire”, including damage caused by smoke, soot or ash.

(This follows paragraph **A. 4. B. (1) (a)** in the **CAPSTONE CONDOMINIUM-COOPERATIVE POLICY** and **CONDOMINIUM UNIT OWNERS – SPECIAL FORM** and **A. 3. B. (1) (a)** in the **CAPSTONE TENANT POLICY** and **TENANTS – SPECIAL FORM**.)

In the **EXECUTIVE CAPSTONE™**, **CAPSTONE TENANT**, **CAPSTONE CONDO CO-OP**, Additional Coverage, **Sewer or Drain Back Up** is deleted and replaced by the following:

“We” will pay for “physical loss” caused by water or waterborne material which backs through sewers or drains on the “residence premises”. A sewer or drain is a pipe connected to the plumbing system, a gutter or downspout, or other drainage pipe that serves to drain water or waste away from the “residence premises”. A back up does not include the inability of the sewer or drain to handle the amount of rainwater, surface water or groundwater trying to enter the sewer or drain.

This coverage does not increase the limits of Insurance that apply to the damaged Covered Property.

In coverage form **EXECUTIVE CAPSTONE™** under **Guaranteed Replacement Cost Protection**, paragraph **(2)(b)** is deleted and replaced by:

- (b)** Increase the Coverage **B** limit of insurance to equal the current replacement cost of the other structures if the amount of “physical loss” to the other structures is more than the limit of insurance indicated in the Declarations. However, if the “physical loss” for which a claim has been made was caused by “sinkhole activity” or “mine subsidence” and “sinkhole activity” or “mine subsidence” are a covered cause of loss under this policy, this provision shall not apply. In the absence of an agreed upon appraisal, when Coverage **B** limit of insurance shown in the Declarations is less than 20% of the Coverage **A** limit of insurance, the most “we” will pay for Coverage **B** is the coverage limit shown in “your” Declarations;

C. Section I – Exclusions

War, is deleted and replaced by:

Any form of loss, damage cost, expense or liability for damages arising directly or indirectly from:

- (1)** “War” and “warlike action”, including undeclared or civil “war” and “cyber hostilities”;

- (2) Hostile action, including action in hindering or defending against an actual or expected attack, by any state, government, or sovereign using military personnel or other "agents"; or
- (3) Insurrection, rebellion, revolution, usurped power, political violence or action taken by a state or government actor in hindering or defending against any of these, including "cyber hostilities" in connection with any of the foregoing.

The attribution of an action will be determined by relying on reasonable evidence such as, but not limited to:

- (a) Statements by an agency or department of the United States government;
- (b) Statements by an international group of which the United States is a member, such as the United Nations or the North Atlantic Treaty Organization, or any member of such an international group; or
- (c) Statements by a "recognized commercial authority".

This exclusion applies notwithstanding anything to the contrary in this policy or any appendix or endorsement added to this policy.

In the **CAPSTONE TENANT** the first paragraph in Exclusion 3. is deleted and replaced by the following:

- 3. "We" will not pay for "physical loss" resulting directly or indirectly, or which ensues from or is the result of any of the following. Such "physical loss" is excluded regardless of any other cause or event contributing concurrently or in any sequence to the "physical loss". These exclusions apply whether or not the "physical loss" event results in widespread damage or affects a substantial area.

In the **TENANT(S)** the first paragraph in C. Exclusion 3. is deleted and replaced by the following:

- 3. "We" will not pay for "physical loss" resulting directly or indirectly, or which ensues from or is the result of any of the following. Such "physical loss" is excluded regardless of any other cause or event contributing concurrently or in any sequence to the "physical loss". These exclusions apply whether or not the "physical loss" event results in widespread damage or affects a substantial area.
- 3. Item h. under the **CAPSTONE TENANT(S)** and **TENANT(S)** Forms is deleted and replaced by the following:
 - (1) Intentional damage means any damage arising out of any act an "insured" commits or conspires to commit with the intent to cause a loss.

In the event of such damage, no "insured" is entitled to coverage, even "insureds" who did not commit or conspire to commit the act causing the loss.
 - (2) However, if "you" commit an act with the intent to cause a loss, "we" will provide coverage to an innocent "insured" victim of domestic abuse, as defined in the "Domestic Abuse Insurance Protection Act", to the extent of that person's interest in the property when the damage is proximately related to and in furtherance of domestic abuse.

In the **CAPSTONE CONDO CO-OP, EXECUTIVE CAPSTONE™, EXECUTIVE**, and **CUO(S)** the first paragraph in Exclusion 4. is deleted and replaced by the following:

- 4. "We" will not pay for "physical loss" resulting directly or indirectly, or which ensues from or is the result of any of the following. Such "physical loss" is excluded regardless of any other cause or event contributing concurrently or in any sequence to the "physical loss". These exclusions apply whether or not the "physical loss" event results in widespread damage or affects a substantial area.

Exclusions Applicable to Coverage A - Dwelling, Coverage B - Other Structures and Coverage C - Personal Property

- 4. Item h. under the **EXECUTIVE CAPSTONE™** and **EXECUTIVE** Forms, Item 3.h. under **TENANT(S)** Form is deleted and replaced by the following:
 - (1) Intentional damage means any damage arising out of any act an "insured" commits or conspires to commit with the intent to cause a loss.

In the event of such damage, no "insured" is entitled to coverage, even "insureds" who did not commit or conspire to commit the act causing the loss.

- (2) However, if "you" commit an act with the intent to cause a loss, "we" will provide coverage to an innocent "insured" victim of domestic abuse, as defined in the "Domestic Abuse Insurance Protection Act", to the extent of that person's interest in the property when the damage is proximately related to and in furtherance of domestic abuse.

Exclusions Applicable to All Coverages

4. Item **h.** under the **CAPSTONE CONDO CO-OP, CUO(S)** Forms, Item **3.h.** under **TENANT(S)** Form is deleted and replaced by the following:

- (1) Intentional damage means any damage arising out of any act an "insured" commits or conspires to commit with the intent to cause a loss.

In the event of such damage, no "insured" is entitled to coverage, even "insureds" who did not commit or conspire to commit the act causing the loss.

- (2) However, if "you" commit an act with the intent to cause a loss, "we" will provide coverage to an innocent "insured" victim of domestic abuse, as defined in the "Domestic Abuse Insurance Protection Act", to the extent of that person's interest in the property when the damage is proximately related to and in furtherance of domestic abuse.

D. Section I - Conditions

2. Your Duties After Loss

The lead-in paragraph is replaced by the following:

In case of a "physical loss" to Covered Property, "we" have no duty to provide coverage under this policy if the failure to comply with the following duties is substantially prejudicial to "us". These duties must be performed either by "you", or "your" representative, or by an "insured" seeking coverage, if not "you".

3. Loss Settlement

In Forms **EXECUTIVE** and **EXECUTIVE CAPSTONE™** the introductory wording of Paragraph **3.b.** is deleted and replaced by the following:

- b.** All covered property under Section **I** - Coverage **B** which are not used as a residence, at replacement cost without deduction for depreciation, subject to the following:

In Forms **EXECUTIVE** and **EXECUTIVE CAPSTONE™** **3. Loss Settlement**, Item **b.**, is revised by adding the following:

Physical Loss Due to Windstorm or Hail

- (a) For a "physical loss" caused by or resulting from windstorm or hail, "we" will pay the cost to repair or replace. In no event will "we" pay more than the limit of insurance under this policy that applies to the Covered Property.
- (b) "We" will settle the claim as described in (a) above once the repair or replacement of the damage is complete.
- (c) For "physical loss" caused by or resulting from windstorm or hail to anything except the "roof system", if repair or replacement is not completed from the date of "our" first payment, "you" have 365 days to collect any amounts due for replacement cost settlement in accordance with (b) above.
- (d) For "physical loss" caused by or resulting from windstorm or hail to the "roof system", "we" will pay no more than the percentage of full replacement cost indicated in the below schedule by age of the "roof system":

"Roof System" Age by Years	% of full replacement cost of "Roof System"
0	100%
1	97%
2	95%
3	93%
4	90%
5	88%
6	85%
7	83%
8	80%
9	77%
10+	75%

From the date of "our" first payment, based on the above schedule, "you" have 365 days to collect any amounts due for replacement cost settlement in accordance with **(b)** above.

- (e)** "You" must make a claim for "physical loss" caused by or resulting from windstorm or hail with "us" within 365 days of the date of "physical loss". Claims made after that time are void.
- (f)** For a "physical loss" to the damaged property caused by or resulting from windstorm or hail "we" will pay any additional amount to repair or replace undamaged property in order to achieve a reasonably uniform appearance. However, "we" will not pay this additional amount if:
 - (i)** The repaired or replaced property or the existing undamaged property can be made to achieve a reasonably uniform appearance;
 - (ii)** A reasonably uniform appearance was not present at the time of "physical loss";
 - (iii)** A reasonably uniform appearance has been achieved within the same line of sight; or
 - (iv)** "You" do not actually repair or replace the damaged property.

The following is added to **Loss Settlement** for all forms:

Duplicate Payment

The amount "we" pay "you" for "physical loss" to covered property:

- a.** Will not duplicate any amount "we" have already paid "you" for any previous loss or losses to the same damaged covered property when the damaged covered property has not been repaired or replaced; and
- b.** Will be reduced by the amount "we" previously paid "you" that "you" have not actually spent to repair or replace such damaged covered property.

In forms **EXECUTIVE** and **EXECUTIVE CAPSTONE™** the following is added:

- c.** Coverage **A** - Dwelling and Coverage **B** - Other Structures used as a residence
 - (1)** In the event of a loss to a building, used as a residence and insured under Coverage **A** or Coverage **B**, "we" will pay the cost to repair or replace, without deduction of depreciation, but not more than the least of the following amounts:
 - (a)** The limit of insurance under this policy that applies to the building;
 - (b)** The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
 - (c)** The necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in **(b)** above is limited to the cost which would have been incurred if the building had been rebuilt at the original premises.

- (2)** When the cost to repair or replace the damage is both:
 - (a)** More than 5% of the amount of insurance in this policy on the damaged building used as a residence; and

- (b) More than \$2,500;

"we" will pay, subject to the Limit of Insurance, no more than the actual cash value of the damage until the actual repair or replacement is complete. However, if the actual cash value amount is insufficient to initiate repair or replacement of the damaged building, "we" will advance to "you" the amount necessary for "you" to initiate such repair or replacement. After the payment of actual cash value or such greater amount as described above, "we" will advance further amounts as necessary to continue the repair or replacement. The total of all advances and other payments hereunder will not exceed the amount allowed under **c.(1)** above nor will that total exceed the amount of loss payment "we" agree upon.

Under this loss procedure, the following special provisions apply:

- (a) "You" shall promptly forward to "us" evidence of the agreement with the party repairing or replacing the damaged building, used as a residence, which shows the cost and estimated completion date of the repairs to the building.
- (b) "We" will send to "you" the balance, if any, of the loss payment previously agreed upon when "you" forward to "us" evidence of the completion of the repairs to the damaged building.
- (3) "You" may disregard the replacement cost loss settlement provisions and make claim under this policy for loss to a building, used as a residence and insured under Coverage **A** or Coverage **B**, on an actual cash value basis. "You" may then make claim for any additional liability according to the provisions stated in **c.(1)** above, provided "you" notify "us", within 180 days after the date of loss, of "your" intent to repair or replace the damaged building. However we have no duty to provide coverage with respect to any additional liability according to the provision stated in **c.(1)** above if:
 - (a) "We" are not notified, within 180 days after the date of loss, of "your" intention to repair or replace the damaged building; and
 - (b) Such failure to notify "us" substantially prejudices "our" rights.

In form **CUO(S)** the Paragraph **3.b.** is deleted and replaced by the following:

- b.** All Covered Property under Section **I** - Coverage **A** not otherwise referenced in Paragraph **3.a.** above:
 - (1) In the event of loss to the property used as a residence which is described in Paragraphs **A.1.a., (1), (2), (3)** and **(4)** under Section **I** - Coverages, **1.** Coverage **A** - Dwelling, "we" will pay the cost to repair or replace, after application of deductible and without deduction for depreciation, but not more than the least of the following amounts:
 - (a) The limit of insurance under this policy that applies to the property;
 - (b) The replacement cost of that part of the property damaged, with material of like kind and quality and for like use; or
 - (c) The necessary amount actually spent to repair or replace the damaged property.
 - If the property is rebuilt at a new premises, the cost described in Paragraph **(b)** is limited to the cost which would have been incurred if the property had been rebuilt at the original premises.
 - (2) When the cost to repair or replace the damage is both:
 - (a) More than 5% of the amount of insurance in this policy on the damaged property used as a residence; and
 - (b) More than \$2,500;

"we" will pay, subject to the Limit of Insurance, no more than the actual cash value of the damage until the actual repair or replacement is complete. However, if the actual cash value amount is insufficient to initiate repair or replacement of the damaged property, "we" will advance to "you" the amount necessary for "you" to initiate such repair or replacement. After the payment of actual cash value or such greater amount as described above, "we" will advance further amounts as necessary to continue the repair or replacement. The total of all advances and other payments hereunder will not exceed the amount allowed under **2.(a)** above nor will that total exceed the amount of loss payment "we" agree upon.

Under this loss procedure, the following special provisions apply:

- (a) "You" shall promptly forward to "us" evidence of the agreement with the party repairing or replacing the damaged property, used as a residence, which shows the cost and estimated completion date of the repairs to the building.
- (b) "We" will send to "you" the balance, if any, of the loss payment previously agreed upon when "you" forward to "us" evidence of the completion of the repairs to the damaged property.
- (3) In the event of loss to property not used as a residence which is described in Paragraphs **A.1.a. (3)** and **(4)** under Section **I** - Property Coverages, **1. Coverage A** - Dwelling, if the damage to covered property under Paragraphs **(3)** and **(4)** is:
 - (a) Repaired or replaced within a reasonable time, the loss will be settled at the actual cost to repair or replace;
 - (b) Not repaired or replaced within a reasonable time, the loss will be settled at actual cash value but not more than the amount required to repair or replace.

17. Deductible, item c. (in the Executive Capstone™)

- c. No deductible will apply to a single occurrence resulting in a covered "physical loss" of \$50,000 or greater. However, this provision does not apply:

(1) To "physical loss" caused by:

- (a) Earthquake;
- (b) Landslide;
- (c) Windstorm, hail, hurricane or "named storm" if a separate deductible applies to these perils; or

A "named storm" is a storm system that has been declared a hurricane or tropical storm and assigned a name by the National Hurricane Center of the National Weather Service.

- (d) "Wildfire".

(2) When the following applies:

- (a) Covered property with deductibles of more than \$50,000; or
- (b) Any other special or specifically listed deductible.

Under the **Capstone Condo Co-op** and **Capstone Tenant**:

17. Deductible, item b. (16. b. in the Capstone Tenant) is deleted and replaced by the following:

- b. No deductible will apply to a single occurrence resulting in a covered "physical loss" of \$50,000 or greater. However, this provision does not apply:

(1) To "physical loss" caused by:

- (a) Earthquake;
- (b) Windstorm, hail, hurricane or "named storm" if a separate deductible applies to these perils; or

A "named storm" is a storm system that has been declared a hurricane or tropical storm and assigned a name by the National Hurricane Center of the National Weather Service.

- (c) "Wildfire".

(2) When the following applies:

- (a) Covered property with deductibles of more than \$50,000; or
- (b) Any other special or specifically listed deductible.

The following condition is added to all policy forms:

Settlement of Property Claims in the Event of a Catastrophe

In the event that "you" report a claim, for direct physical loss to covered property that results from a catastrophe:

- a.** Declared by the Superintendent of Insurance; and
- b.** Covered under this policy;

"we" will reach agreement with "you" on the amount of loss within 90 days following the declaration of the catastrophe by the Superintendent of Insurance, provided "you" reported "your" claim to "us" prior to the declaration of the catastrophe.

If "you" reported "your" claim to "us" after the declaration of the catastrophe by the Superintendent of Insurance, "we" will reach agreement with "you" on the amount of loss within 90 days after the date on which "you" report the claim.

However, the time periods specified above will be extended by the period of time taken to resolve the following situations:

- a.** "We" suspect the claim is fraudulent and commence an investigation to make such a determination;
- b.** "You" do not provide the necessary information regarding the nature of the claim, following "our" request for such information; or
- c.** "You" filed suit against "us" in connection with the claim before expiration of the applicable 90 day period.

These requirements do not restrict "our" rights under the Suit Against Us and Appraisal conditions of this policy.

SECTION II - LIABILITY COVERAGES

Section II - Exclusions

War, is deleted and replaced by:

Any form of loss, damage cost, expense or liability for damages arising directly or indirectly from:

- (1)** "War" and "warlike action", including undeclared or civil "war" and "cyber hostilities";
- (2)** Hostile action, including action in hindering or defending against an actual or expected attack, by any state, government, or sovereign using military personnel or other "agents"; or
- (3)** Insurrection, rebellion, revolution, usurped power, political violence or action taken by a state or government actor in hindering or defending against any of these, including "cyber hostilities" in connection with any of the foregoing.

The attribution of an action will be determined by relying on reasonable evidence such as, but not limited to:

- (a)** Statements by an agency or department of the United States government;
- (b)** Statements by an international group of which the United States is a member, such as the United Nations or the North Atlantic Treaty Organization, or any member of such an international group; or
- (c)** Statements by a "recognized commercial authority".

This exclusion applies notwithstanding anything to the contrary in this policy or any appendix or endorsement added to this policy.

Section II - Conditions

In forms **CUO(B)**, **TENANT(S)**, **TENANT(B)**, **HO3**, **EXECUTIVE** and **EXECUTIVE CLASSIC™** **D. Section II - Conditions, 1. Limit of Insurance b.** is deleted and replaced by the following:

- b.** "Our" total liability under Coverage **F** - Medical Payments to Others for all medical expenses payable for "bodily injury" to one person as the result of one accident shall not exceed the Limit of Insurance for Coverage **F** - Medical Payments to Others as shown in the Declarations.

In all forms **D. section II - Conditions, 3. Duties in the Event of Occurrence, Claim or Suit** the lead-in paragraph is replaced by the following:

In case of an "occurrence", claim or "suit" "you" and any other involved "insured" will perform the following duties. "We" have no duty to provide coverage under this policy if "your" or any other "insured's" failure to comply with the following duties is substantially prejudicial to "us". "You" and any other involved "insured" shall cooperate with "us" in seeing that these duties are performed:

SECTION III - COMMON CONDITIONS

The following conditions are revised in all policy forms:

2. Cancellation

The first paragraph only in **2.b.** is deleted and replaced by the following:

- b.** "We" may cancel this policy only for the reasons stated in this condition by notifying the first Named Insured shown in the Declarations in writing of the date cancellation takes effect. This cancellation notice may be delivered to the first Named Insured shown in the Declarations, using any communication method authorized by the Named Insured, or mailed to the first Named Insured shown in the Declarations at their mailing address shown in the Declarations.

Paragraph **b.(2)** is deleted and replaced by the following:

- (2)** When this policy has been in effect for less than 60 days and is not a renewal with "us", "we" may cancel for any reason by notifying the first Named Insured shown in the Declarations at least 10 days before the date cancellation takes effect. The effective date of cancellation must fall within such 60 day period.

Paragraph **b.(3)** is deleted and replaced by the following:

- (3)** When this policy has been in effect for 60 days or more, or at any time if it is a renewal with "us", "we" may cancel if there has been a material misrepresentation of fact which if known to "us" would have caused "us" not to issue the policy or if the risk has changed substantially since the policy was issued. Cancellation can be accomplished by notifying the first Named Insured shown in the Declarations at least 30 days if there has been a substantial change in risk, for any other reason at least 15 days before the date cancellation takes effect.

3. Nonrenewal

Is deleted and replaced by the following:

"We" may elect not to renew this policy. "We" may do so by delivery to the first Named Insured shown in the Declarations, or mailing to the first Named Insured shown in the Declarations at their mailing address shown in the Declarations, written notice not less than 30 days before the expiration date of this policy. Proof of mailing shall be sufficient proof of notice.

5. Subrogation

Paragraph **a.** is deleted and replaced by the following:

- a.** An "insured" may waive in writing before a "physical loss" or an "occurrence" all rights of recovery against any person. However, this waiver does not apply if an "insured" is an innocent victim of domestic abuse as defined in the "Domestic Abuse Insurance Protection Act". In this case, "we" shall be subrogated to the rights of the innocent "insured" claimant to recover for any losses "we" paid for property damages. In all other cases, if an "insured" has not waived in writing before a loss all rights of recovery against any person, "we" may require an assignment of rights of recovery for a "physical loss" to the extent that payment is made by "us".

All other provisions of this policy apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

TRADE OR ECONOMIC SANCTIONS ENDORSEMENT

This insurance does not apply to the extent that trade or economic sanctions or other laws or regulations prohibit "us" from providing insurance, including, but not limited to, the payment of claims.

All other provisions of this policy apply.

NOTICE OF PRIVACY PRACTICES

OUR PRIVACY PLEDGE

You have received this notice because you have a policy with The Cincinnati Insurance Companies or you have applied for or purchased a product or service from our family of companies. We believe that your personal information should be respected and protected. For this reason, we are committed to protecting your personal information and using it only as appropriate to provide you with the best possible service, products and opportunities.

This privacy notice describes our information practices and policies. It applies to our relationship with you if you are an individual who inquires about or obtains products or services from us for personal, family or household purposes.

INFORMATION WE COLLECT

To provide our products or services, we may collect personal information about you from a variety of sources, including:

- information that comes from you during the application process or when visiting *cinfin.com*
- information about you from our affiliates, your independent insurance agent, governmental entities, consumer reporting agencies and other sources
- with your prior written consent, a medical professional who has treated you or members of your family

The type of information that we collect depends on the product or service requested, but may include:

- credit history
- motor vehicle reports
- inspections on your property
- claims history
- information concerning your previous insurance policies
- information to properly investigate and resolve any claims

INFORMATION WE DISCLOSE TO THIRD PARTIES

We do not sell your personal information to anyone. We do not disclose your personal information to third parties - people and companies that are not affiliated with us - for their own marketing purposes. For this reason, no "opt-out" is required. If we share some personal information about you with third parties without your specific authorization, it is to provide you with products and services that you request or expect from us, and as otherwise permitted by law.

For example, we may disclose the personal information we collect (as described above) as necessary to:

- service your policy, lease or account
- investigate and pay claims
- comply with state and federal regulatory requests or demands
- process other transactions that you request

To whom we make such disclosures depends on the product or service requested but may include:

- your independent insurance agent
- insurance regulators
- reinsurance companies
- consumer-reporting and fraud prevention agencies
- your mortgage or premium finance company
- insurance adjusters

We also may disclose personal information about you to companies that perform marketing services on our behalf or to other financial service providers with which we have joint marketing agreements. If information is disclosed, it will not result in telemarketing or direct mail marketing.

INFORMATION SECURITY

We restrict access to personal information about you to those employees who need access to that information in order to provide products and services to you. We maintain physical, electronic and procedural safeguards to guard your personal information.

A SPECIAL WORD ABOUT OUR INSURANCE INFORMATION PRACTICES

The information in this section applies to you only if you applied for or purchased an insurance product from us for personal, family or household purposes. This section is intended to supplement, but not replace, the other information contained in this Notice of Privacy Practices.

You have the right to access the personal information that we collect about you in connection with your insurance transactions with us. If you believe that any of that information is in error, you have the right to request us to correct it. Send your written request, including your policy number and the information about which you are concerned, to the address listed below.

To receive a more detailed notice regarding our insurance information practices and your information privacy rights, please contact us at the address or phone number given below.

EMAIL COMMUNICATIONS

We will not send you an email in which we ask for personal information from you (such as password or Social Security number) or link you to our website to ask you for such information unless we reference a specific transaction or information that you have requested. If you receive an unsolicited or suspicious email from The Cincinnati Insurance Companies, please forward the email to us at privacy@cinfin.com.

INFORMATION WE SHARE WITHIN OUR CORPORATE FAMILY

To serve you, we may share information about our experiences and transactions with you within our family of companies. Such information may include your payment or claims history or the types of insurance coverages you purchase from us.

The following companies comprise the Cincinnati Financial Corporation family of companies:

- Cincinnati Financial Corporation
- The Cincinnati Insurance Company
- The Cincinnati Casualty Company
- The Cincinnati Indemnity Company
- The Cincinnati Life Insurance Company
- CFC Investment Company
- The Cincinnati Specialty Underwriters Insurance Company
- The CSU Producer Resources Inc.
- Cincinnati Global Underwriting Ltd.
- Cincinnati Global Underwriting Agency Ltd.

This privacy notice applies to and is provided on behalf of all of the companies in the Cincinnati Financial Corporation family of companies with the exception of CFC Investment Company, Cincinnati Global Underwriting Ltd. and Cincinnati Global Underwriting Agency Ltd., which are governed by separate and specific privacy policies.

ONGOING ACCESS TO OUR PRIVACY POLICY

We will provide a notice of our privacy policy as required by law. This policy may change from time to time, but you can always review our current policy by visiting our website at cinfin.com or by contacting us at:

The Cincinnati Insurance Companies
Attn: Regulatory & Compliance - Privacy
P.O. Box 145496
Cincinnati, Ohio 45250-5496
Phone: 888-744-2170 (toll free) or 513-603-5992
Email: privacy@cinfin.com



The Cincinnati Casualty Company

Headquarters: 6200 S. Gilmore Road, Fairfield, OH 45014-5141

Mailing address: P.O. Box 145496, Cincinnati, OH 45250-5496

www.cinfin.com • 513-870-2000 • 888-242-8811

Named Insured: **Kingsley Martin**

Your Insurance Score

Thank you for choosing your local independent insurance agent and The Cincinnati Casualty Company for your insurance needs. We work hard to provide you the most competitive pricing possible. To determine that price, we evaluate criteria such as your driving record, claims history, coverage amounts and insurance score. These factors affected your insurance score:

- **% OF ACCOUNTS REPORTED IN LAST 24 MONTHS TO TOTAL ACCOUNTS ON FI**
- **# OF AUTO FINANCE ACCOUNTS ESTABLISHED**
- **# OF ACCOUNTS CURRENTLY OR IN THE PAST W/30+ DAY LATE PAYMENTS**
- **# OF BANK REVOLVING ACCTS PAID AS AGREED IN THE LAST 24 MONTHS**

Information from your credit history used in determining your insurance score was provided by:

LexisNexis® Consumer Center
PO Box 105108
Atlanta, GA 30348-5108
800-456-6004 (Interactive Voice Response)
Reference number: **25286070734478**
www.consumerdisclosure.com

Information for you:

- An insurance score and a credit score are different. LexisNexis, a reseller of data, establishes an insurance score based upon consumer file data like payment history, types of credit, age of credit accounts and other financial history. Neither LexisNexis nor Cincinnati Casualty receives your credit report. Contact LexisNexis at 866-323-0932 to discuss how the items above may influence your insurance score.
- You have the right to a free copy of your credit report. Please make the request to LexisNexis within 60 days of receiving this notice. Along with your request, provide your full name, address, date of birth, driver's license information, Social Security number and reference number **25286070734478**.
- If you believe your credit report contains errors or is incomplete, please contact the credit bureau from which LexisNexis obtained your history. You will find the dispute resolution process outlined in the material delivered with your free credit report.
- Notify your local independent agent if your information changes or if your credit based insurance score has been impacted by extraordinary life circumstances you have experienced in the last three years. At your written request, we will reevaluate your information and apply reasonable exceptions to determine the most competitive price we can provide you. You will be notified, in writing, within 30 days of our receipt of sufficient documentation we may require from you. Any resulting pricing changes will be effective from the date of your request.



The Cincinnati Casualty Company

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Mailing address: P.O. Box 145496, Cincinnati, OH 45250-5496

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Named Insured: **Mary Catherine Murray**

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- **# OF AUTO FINANCE ACCOUNTS ESTABLISHED**
- **# OF ACCOUNTS CURRENTLY OR IN THE PAST W/30+ DAY LATE PAYMENTS**
- **% OF BALANCE TO CREDIT LIMIT ON OPEN ACCOUNTS**
- **% OF ACCOUNTS REPORTED IN LAST 24 MONTHS TO TOTAL ACCOUNTS ON FILE**

Information from your credit history used in determining your insurance score was provided by:

LexisNexis® Consumer Center
PO Box 105108
Atlanta, GA 30348-5108
800-456-6004 (Interactive Voice Response)
Reference number: **25286124738434**
www.consumerdisclosure.com

Information for you:

- An insurance score and a credit score are different. LexisNexis, a reseller of data, establishes an insurance score based upon consumer file data like payment history, types of credit, age of credit accounts and other financial history. Neither LexisNexis nor Cincinnati Casualty receives your credit report. Contact LexisNexis at 866-323-0932 to discuss how the items above may influence your insurance score.
- You have the right to a free copy of your credit report. Please make the request to LexisNexis within 60 days of receiving this notice. Along with your request, provide your full name, address, date of birth, driver's license information, Social Security number and reference number **25286124738434**.
- If you believe your credit report contains errors or is incomplete, please contact the credit bureau from which LexisNexis obtained your history. You will find the dispute resolution process outlined in the material delivered with your free credit report.
- Notify your local independent agent if your information changes or if your credit based insurance score has been impacted by extraordinary life circumstances you have experienced in the last three years. At your written request, we will reevaluate your information and apply reasonable exceptions to determine the most competitive price we can provide you. You will be notified, in writing, within 30 days of our receipt of sufficient documentation we may require from you. Any resulting pricing changes will be effective from the date of your request.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EQUIPMENT BREAKDOWN

- I.** With respect to insurance coverage provided under this endorsement the **DEFINITIONS** Section of the policy is amended with the addition of the following definitions:

- A.** "Accident" means sudden and accidental mechanical or electrical breakdown that results in direct "physical loss" to "covered equipment" necessitating its repair or replacement. If an initial "accident" causes other "accidents", all will be considered one "accident". All "accidents" that become apparent at the same time and that are the result of the same cause will be considered one "accident".

None of the following is an "accident":

- 1.** Leakage at any valve, fitting, shaft seal, gland packing, joint or connection;
- 2.** The functioning of any safety or protective device;
- 3.** Depletion, deterioration, erosion, rust or other corrosion; or
- 4.** Wear and tear.

However, "we" do cover any ensuing loss caused by an "accident".

- B.** "Computer equipment" means electronic data processing hardware and related peripheral equipment, including but not limited to: laptops, monitors and display screens, keyboards, printers, modems and permanently installed wiring associated with such equipment.

- C.** "Covered equipment" means:

- 1.** Property covered under Coverage **A** - Dwelling or Coverage **B** - Other Structures, that:
 - a.** Generates, transmits or utilizes energy;
 - b.** During normal usage, operates under vacuum or pressure, other than the weight of its contents;
or is:
 - c.** "Computer equipment"; or
 - d.** "Home theater and audio system equipment".
- 2.** Property covered under Coverage **C** - Personal Property that is in the "residence premises" and is:
 - a.** "Computer equipment"; or
 - b.** "Home theater and audio system equipment".
- 3.** None of the following is "covered equipment":
 - a.** A structure or foundation, cabinet or compartment;
 - b.** Insulating material;
 - c.** Sewer piping, buried vessels or underground piping, piping forming a part of a fire protective sprinkler system; water piping other than boiler feedwater piping, boiler condensation return piping or water piping forming a part of a refrigerating or air conditioning system;
 - d.** "Personal electronic devices";
 - e.** Software or electronic data;
 - f.** Pinball machines, arcade electronic games or video gaming systems;
 - g.** Property used at any time or in any manner for "business";

- h. Property not owned by an "insured"; or
 - i. Property not at a "residence premises".
 - D. "Home theater and audio system equipment" means electronic entertainment equipment, including but not limited to: television or projection equipment, receivers, amplifiers, sound processors, turntables, recording and playback devices, speakers, controls, lighting and permanently installed wiring associate with such equipment.
 - E. "Media" means material on which data is recorded. This includes but is not limited to: magnetic tapes, hard drives, optical storage drives and CD/DVD drives.
 - F. "Personal electronic device" means any device that transmits, receives, enhances, displays or stores electronic data and that is primarily designed and intended to be handheld and used by one person at a time. This includes but is not limited to tablet personal computers, personal digital assistants, cameras, camcorders, cell phones and personal listening devices.
- II. Section I, Coverage D - Loss of Use, Additional Living Expense is extended to the coverage provided by this endorsement.
- III. Section I - Additional Coverages is amended as follows:
- The following Additional Coverage is added:
- Equipment Breakdown**
- "We" will pay for direct "physical loss" and other covered costs to "covered equipment" that is the result of an "accident".
- If, due to an "accident", "covered equipment" cannot be repaired, necessitating replacement, "we" will pay "your" additional cost to replace "covered equipment" with equipment that is better for the environment, safer or more efficient than the equipment being replaced. However, "we" will not pay more than 125% of what the cost would have been to replace with like kind and quality. This does not increase any of the applicable Limits of Insurance.
- The most "we" will pay for loss, damage or expense under this endorsement arising from any one "accident" is shown on the Declarations Page for Equipment Breakdown. Coverage provided under this endorsement does not increase any Limits of Insurance under Section I - Property Coverages.
- In case of a loss under this endorsement, "we" will pay only for that part of the loss greater than the deductible shown on the Declarations Page for Equipment Breakdown. No other deductible applies to this coverage.
- IV. With respect to insurance coverage provided under this endorsement Section I – Exclusion, Mechanical breakdown, latent defect, inherent vice or any quality in property that causes it to damage or destroy itself, does not apply except as provided in Section I, Additional Coverage, Equipment Breakdown;
- V. Section I - Exclusions is amended to include the following:
- With respect to Additional Coverage Equipment Breakdown, only:
- A. "We" do not cover under this endorsement any property that is not "covered equipment".
 - B. "We" will not pay under this endorsement for loss, damage or expense caused by or resulting from any defect, programming error, programming limitation, computer virus, malicious code, loss of data, loss of access, loss of use, loss of functionality or other condition within or involving data or "media" of any kind. However; if an "accident" results, "we" will pay for the resulting loss, damage or expense.
 - C. "We" will not pay under this endorsement for loss, damage or expense caused by or resulting from electrical power surge, lightning or brownout.
- VI. Section I – Conditions, Loss Settlement is amended to include the following:
- With respect to Additional Coverage Equipment Breakdown, only:
- A. "We" will pay to repair or replace "covered equipment" that is damaged by an "accident". "Our" payment will be the lesser of the:
 - 1. Applicable coverage limit;
 - 2. Cost to repair the damaged "covered equipment"

3. Cost to replace the damaged "covered equipment" on the same "residence premises"; or
 4. Necessary amount actually spent to repair or replace the damaged "covered equipment".
- B.** "Covered equipment" must be replaced or repaired with items of like kind and quality, unless stipulated elsewhere in this endorsement.
- C.** If "you" do not repair or replace the damaged "covered equipment" within 24 months, after the date of the "accident", then "we" will pay only the lesser of the:
1. Cost it would have taken to repair at the time of the "accident"; or
 2. Actual cash value at the time of the "accident".

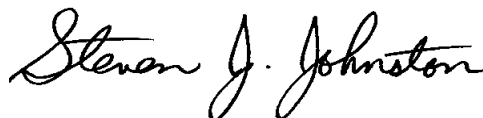
All other terms and conditions of this policy remain unchanged.

In witness whereof, the company issuing this policy has caused this policy to be signed by its Secretary and its President, but this policy shall not be valid or effective, where mandated by law, until countersigning on the Declarations page by a duly authorized agent of the Company. This endorsement is executed by the company stated in the declarations.

The Cincinnati Casualty Company

A handwritten signature in black ink, appearing to read "Lisa M. Love". The script is fluid and cursive.

Secretary

A handwritten signature in black ink, appearing to read "Steven J. Johnston". The script is fluid and cursive.

President